



**ANNUAL COMPREHENSIVE FINANCIAL REPORT
of the
MUSCATINE COMMUNITY SCHOOL DISTRICT
Muscatine, Iowa**

For the Fiscal Year Ended June 30, 2023

2900 Mulberry Ave, Muscatine, Iowa 52761

In the county of Muscatine, State of Iowa

Annual Comprehensive Financial Report
of the

Muscatine Community School District

Muscatine, Iowa

For the Fiscal Year Ended June 30, 2023

Official Issuing Report
Tom Anderson, Director of Finance & Budget

Office Issuing Report
Finance Department

Introductory Section

INTRODUCTORY SECTION (Unaudited)

Table of contents	i-ii
Letter of transmittal	iii-viii
Board of education and school officials	ix
District administration	x
Organizational chart	xi
ASBO Certificate of excellence in financial reporting	xii

FINANCIAL SECTION

Independent auditor's report	1-3
Management's discussion and analysis	4-14
Basic financial statements:	
Government-wide financial statements:	
Statement of net position	15-16
Statement of activities	17-18
Governmental fund financial statements:	
Balance sheet- governmental funds	19
Reconciliation of the balance sheet- governmental funds to the statement of net position	20
Statement of revenues, expenditures and changes in fund balances- governmental funds	21
Reconciliation of the statement of revenues, expenditures and changes in fund balances- governmental funds to the statement of activities	22
Proprietary fund financial statements:	
Statement of net position	23
Statement of revenues, expenses and changes in net position (deficit)	24
Statement of cash flows	25
Fiduciary fund financial statements:	
Statement of fiduciary net position	26
Statement of changes in fiduciary net position	27
Notes to basic financial statements	28-54
Required supplementary information:	
Schedule of changes in the district's total OPEB and related ratios	55-56
Budgetary comparison schedule of revenues, expenditures/expenses and changes in balances budget and actual- all governmental funds and enterprise fund	57-58
Schedule of the district's proportionate share of the net pension liability	59-60
Schedule of the district's contributions	61-62
Notes to required supplementary information	63-64
Other supplementary information:	
Nonmajor governmental funds:	
Combining balance sheet	65
Combining statement of revenues, expenditures and changes in fund balances	66
Schedule of combining balance sheet- capital projects fund- by account	67
Combining schedule of revenues, expenditures and changes in fund balances- capital projects fund- by account	68
Fiduciary funds:	
Combining statement of fiduciary net position- custodial funds	69
Combining statement of changes in fiduciary net position, custodial funds	70

STATISTICAL SECTION (Unaudited)

Statistical section contents	71
Financial trends:	
Net position by component	72-73
Expenses, program revenues and net (expense)/revenue	74-75
General revenues and total change in net position	76-77
Fund balances, governmental funds	78-79
Governmental funds revenues	80-81
Governmental funds expenditures and debt service ratio	82-83
Other financing sources and uses and net change in fund balances, governmental funds	84-85
Financial solvency ratio	86
Revenue capacity:	
Property tax:	
Assessed value and actual value of taxable property	87-88
Direct and overlapping property tax rates	89-90
Principal property taxpayers	91
Property tax levies and collections	92
Debt capacity:	
Ratio of net general bonded debt outstanding	93
Outstanding debt by type	94
Direct and overlapping governmental activities debt	95
Legal debt margin information	96-97
Pledged revenue coverage	98
Demographic and economic statistics:	
Demographic and economic statistics	99
Principal employers	100
Operating information:	
Full time equivalent district employees by type	101-102
Operating statistics	103-104
School building information	105-106
Certified staff salaries	107

COMPLIANCE SECTION

Schedule of expenditures of federal awards	108
Notes to the schedule of expenditures of federal awards	109
Summary schedule of prior audit findings	110
Independent auditor's report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with government auditing standards	111-112
Independent auditor's report on compliance for each major federal program and on internal control over compliance as required by the Uniform Guidance	113-115
Schedule of findings and questioned costs	116-119
Corrective action plan	120



Muscatine Community School District
2900 Mulberry Ave
Muscatine, Iowa 52761

Phone: (563) 263-7223
Fax: (563) 263-7729

December 6, 2023

John Dabeet, President,
Members of the Board of Education,
and the Citizens of Muscatine Community School District
Muscatine, Iowa

We are pleased to submit to you the Annual Comprehensive Financial Report (ACFR) of the Muscatine Community School District (the District) for the fiscal year ending June 30, 2023. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the entire District. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Independent Audit/Legal Requirements

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitive bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards and the annual single audit requirements of Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements and combining and individual fund statements and other schedules is included in the financial section of this report. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plans (if any) are included in the Compliance Section of this report.

"Every student is a success story"

All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Muscatine Community School District's financial statements for the year ended June 30, 2023. The independent auditor's report is located at the front of the financial section of the ACFR.

Internal Control

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school district adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Basis of Presentation

The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Government units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Financial Accounting for Iowa Schools and Area Education Agencies issued by the Iowa Department of Education and Chapter 11 of the Code of Iowa. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Profile of the District

The District is located in East Central Iowa along the picturesque banks of the Mississippi River. Muscatine is a city rich with history and a business sense. The city is located just 15 miles south of the nation's only East/West transcontinental interstate highway, Interstate 80, and alongside U.S. 61, a major North/South route through the central United States. Centrally located, Muscatine is an easy half-day drive from Minneapolis/St. Paul, Omaha and Indianapolis, while being just hours from Des Moines and Chicago. The location has given us strategic importance for over 150 years. Once the "Pearl Button Capital of the World," Muscatine boasts a stable economic base that is appealing even to areas with many times our population. Moreover, our net of employment reaches out to communities on both sides of the Mississippi, making us a strong economic force in the Iowa/Illinois bi-state area.

The resident population of the Muscatine Community School District was approximately 23,797 in the year 2020 according to the U.S. Census Bureau. The District serves the education needs of approximately 4,604

students. All buildings are air-conditioned and equipped with state of the art technology. In the 2021-22 school year, the district had one preschool building, 6 elementary schools, one 7-8 junior high school, and one 9-12 high school. Construction on the newest elementary school, Jefferson Elementary was completed in 2015.

The District provides a full range of educational services for those attending the Muscatine Community School District including basic, regular and enriched academic education, specialized instruction for handicapped children, vocational education and many individualized programs such as specialized instruction for students at-risk. There are no charter school relationships within the District.

The District is supported financially by state aid, property taxes, state and federal grants for special projects and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. School elections are held in November of odd numbered years. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all funds of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or

actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Economic Condition and Outlook

Major employers in the area: Bayer (formerly Monsanto), Bridgestone/Bandag, H.J. Heinz, Raymond Corporation, Kent Corporation, HNI Corporation, Musco Lighting, Stanley Consultants, Carver Pump.

The Quad Cities region is a bi-state, six-county region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois, which includes the Davenport-Moline-Rock Island IA-IL msa; the Clinton, IA msa, and the Muscatine, IA msa.

The unemployment rate in Muscatine County, Iowa was 3.2% in September 2023. This was lower than the national average of 3.6%.

The District enrollment is expected to decrease by about 400 students in the next five years to about 4,220 students. In the next five years, elementary enrollment will decrease by about 80 students to 2,350, middle school enrollment to decrease by about 120 students to 620, and High School enrollment to decrease by over 220 students to 1,200 students. In the spring of 2023, the district will evaluate elementary boundaries and transfer policy to solve capacity challenges at targeted elementary schools. We will also be monitoring the size of incoming kindergarten classes versus the size of the outgoing graduating senior class. The number of live births reported year to year will also be an important data point, as currently it indicates fewer live births and will impact cohort changes from year to year.

Taxable valuations of property in the District continue to increase each year. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 2.05%. In the 2022-23 fiscal year (taxable valuations as of January 1, 2021), the increase was 0.23%.

The three oldest school buildings in the District, Franklin, Grant, and Madison Elementary Schools, were originally built in 1954. Other school buildings in the District have original build dates between 1960 and 2015.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 5% to 15%. The District's solvency ratio at June 30, 2023 is 17.0%, which is a decrease from 19.2% at June 30, 2022. Much of this decrease in solvency can be attributed to special education and English Language Learners underfunding.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. Certified enrollment for the District continues to decrease. The district cost per pupil for 2022-2023 was \$7,423 and the cost per pupil for 2023-24 is \$7,635.

In the spring of 2023, the Iowa Legislature passed a significant change to education funding by approving Education Savings Accounts (ESA) that provide funding to parents who choose private schools instead of public schools. In the first year of implementation, eligibility is based on any students moving from public to private schools, and any current private school students whose family is at or below 300% of the Federal poverty level. \$7,635 is placed in an account for each eligible student and the money is then directed to

the schools to cover enrollment and other eligible costs. Districts retain \$1,208 in categorical funding for each eligible student. The estimated cost of the ESA program for the first three years of implementation is expected to exceed \$800 million. The district will need to monitor how this affects enrollment. On a statewide basis, this will have a major impact on funding to public schools.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid.

Debt Administration

As of June 30, 2023 the District had \$25M in sales tax revenue bond debt. In 2021 the district completed a facilities study that resulted in projects selected based on the greatest needs determined by the facility study. The projects include secured entrances at two elementary schools and the junior high as well as additions to the junior high and one elementary school.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term and long-term non negotiable certificate of deposits. The cash balances of the District's funds are pooled. Interest revenue of \$951,501 was earned on all deposits and investments for the fiscal year ending June 30, 2023.

The District currently covers property and liability losses with traditional insurance coverage. The group health and dental plans are self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source.

For long-term planning, the District utilizes a "Comprehensive Financial Planning Model" to project various scenarios and how they could affect the financial health of the District in the next five years. The District also has a "Five Year Capital Projects Plan" which is updated at least annually for projecting future capital project needs in the District.

Major Initiatives and Achievements

In 2020, Muscatine High School met with stakeholders to develop a vision of the skills and attributes that all students should have when they graduate from MHS and enter the workforce or continue with any of the multiple post-secondary opportunities. Feedback and input was gathered from students, staff, parents, and community members. *Portrait of a Muskie Graduate* developed multiple pathways for student success including; revised graduation requirements to better align with state requirements and created opportunities for work based learning experiences. As well as assuring better access to Career Pathways with Muscatine Community College.

Over the past several years, the graduation rates at MHS have slowly improved, but are still significantly below state averages. The high school team has expanded work-based learning opportunities for students. This past year over 75 students participated at a variety of local businesses including HNI,

Musco, Lutheran Homes, and Ruan Transportation. They've also expanded the number of students participating in Career Academies at MCC. The Academies provide a structured learning track for Culinary, Healthcare, Welding, Business, IT, Automotive Tech, HVAC, K-12 teaching, Criminal Justice, and Credit Transfer programs for students looking to complete an associates degree in high school to transfer directly to a 4-year college or university. This year, over 50 students participated in an internship, apprenticeship, or on-site work program.

The district has made a focused effort on improving attendance and reducing the number of students chronically absent. The district has historically had very high levels of chronic absenteeism, frequently above 30% of students falling into that category. District and building level teams, in collaboration with our school resource officers, and the county attorney, established new procedures for tracking, communicating, and working with families to reduce absenteeism. Last year the number of students chronically absent went from 33% to 17%.

We continue to follow our mission statement that every student will excel in thinking, learning, achieving and caring in partnership with our staff, families, and community. Our district's shared vision that every student is a success story engaging in real and relevant learning, being respected, accepted, and celebrated, and developing personalized pathways is carried out by our staff on a daily basis.

Certificate of Achievement for Excellence in Financial Reporting

This submission is the second consecutive submission to the Association of School Business Officials (ASBO) International for a Certificate of Excellence in Financial Reporting for its Annual Comprehensive Financial Report for the fiscal year ended June 30, 2023. In order to be awarded this Certificate, a governmental entity must publish an easily readable and efficiently organized Annual Comprehensive Financial Report. This report must satisfy both generally accepted accounting principles and applicable legal requirements. The Muscatine Community School District has received the ASBO Certificate of Excellence in Financial Reporting for fiscal year ended June 30, 2022.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the Muscatine County Auditor and Treasurer offices and the city officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Comprehensive Annual Financial Report is submitted to the Board of Directors.

Respectfully submitted,



Thomas P. Anderson
Director of Finance & Budget



Clint Christopher
Superintendent

Muscatine Community School District

Officials

Year Ended June 30, 2023

Name	Title	Term Expires
John Dabeet	President	2023
Mike Morgan	Vice President	2023
Matt Conard	Board Member	2025
Karen Cooney	Board Member	2023
Ken LaRue	Board Member	2025
Lindsey Phillips	Board Member	2025
Denny Schuur	Board Member	2023

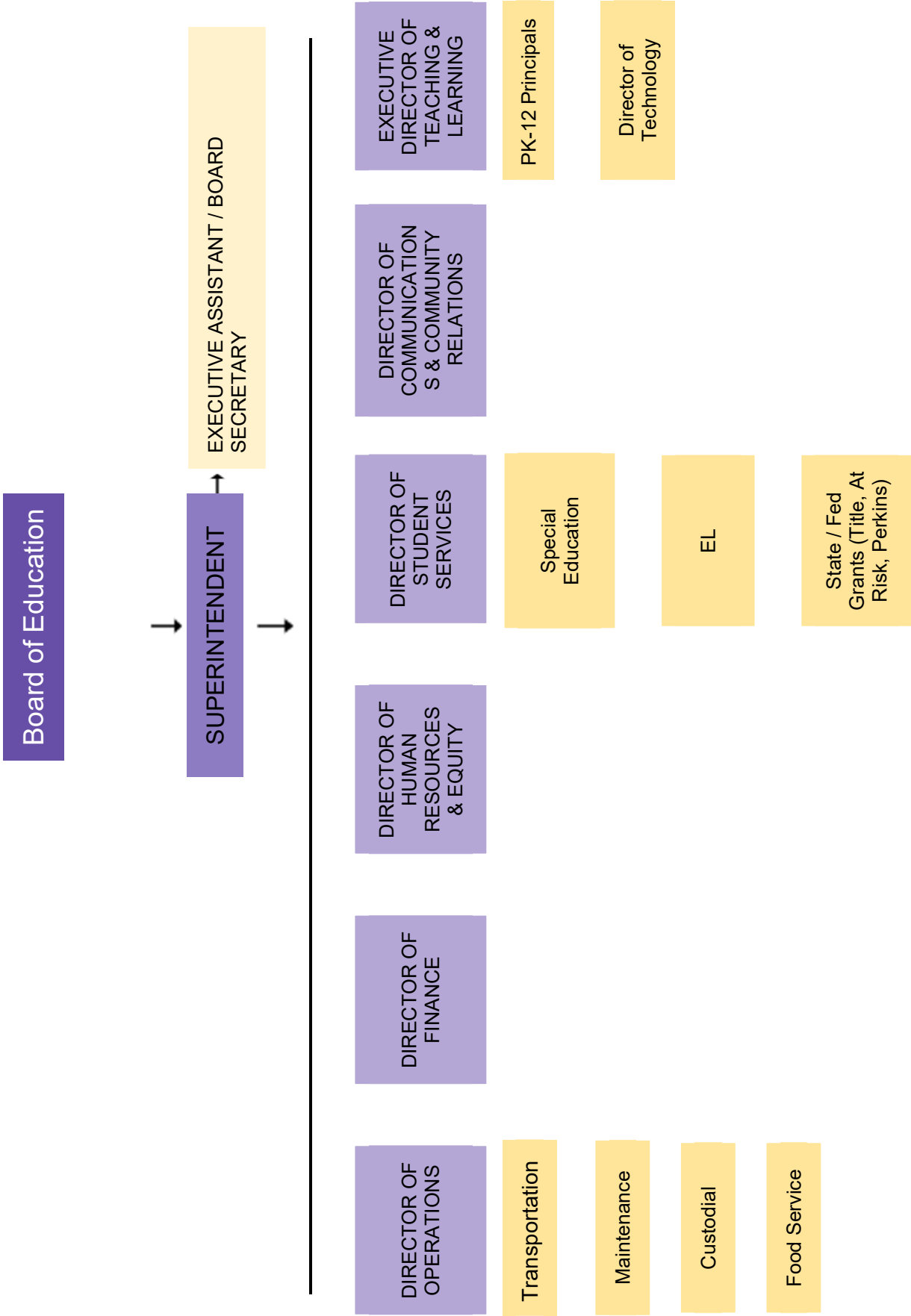
School Officials

Clint Christopher	Superintendent	2023
Tom Anderson	Director of Finance	2023
Daphne Donald	District Secretary	2023
Ahlers & Cooney, P.C.	Attorney	Indefinite

Muscatine Community School District
District Administration
June 30, 2023

Clint Christopher	Superintendent of Schools
Joelle McConnaha	Executive Director of Teaching & Learning
Tom Anderson	Director of Finance & Budget
Becky Wichers	Director of Student Services
Jaime Kroeger	Director of Human Resources & Equity
Ryan Castle	Director of Operations
Scott Comstock	Director of Technology
Tony Loconsole	Director of Communication & Community Engagement
Daphne Donald	Executive Administrative Assistant/Board Secretary
Jessi Freers	Principal - Muskie Early Learning Center
Corry Spies	Principal - Franklin Elementary School
Leslie Bennet	Principal - Grant Elementary School
Dr. Kandy Steel	Principal - Jefferson Elementary School
Stephanie Zillig	Principal - Madison Elementary School
Gretchen Price	Principal - McKinley Elementary School
Stacy Olson	Principal - Mulberry Elementary School
Chris Nienhaus	Principal - Susan Clark Junior High School
Terry Hogenson	Principal - Muscatine High School
Mike Henson	Asst. Principal/Activities Director - Muscatine High School
Staci Orr	Asst. Principal - Muscatine High School
Andy Werling	Asst. Principal - Muscatine High School
Morgan Mohr	Asst. Principal - Muscatine High School
Jen Fridley	Asst. Principal - Susan Clark Junior School

Muscatine Community School District





ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

Muscatine Community School District

**for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2022.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



**John W. Hutchison
President**

**Siobhán McMahon, CAE
Chief Operations Officer/
Interim Executive Director**



To the Board of Education
Muscatine Community School District
Muscatine, Iowa

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Muscatine Community School District as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the Muscatine Community School District, as of June 30, 2023, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (Government Auditing Standards). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Muscatine Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 15 to the financial statements, Muscatine Community School District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 96, *Subscription-Based Information Technology Arrangements*. As a result, June 30, 2022 governmental activities net position is restated by \$50,231. Our opinions are not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Muscatine Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Muscatine Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Muscatine Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-14 and 55-64 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context.

We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements.

We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Muscatine Community School District's basic financial statements. The supplementary information, as listed in the table of contents and the Schedule of Expenditures of Federal Awards as required by Title 2, *U.S Code of Federal Regulations*, Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance), are presented for purposes of additional analysis and are not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and Schedule of Expenditures of Federal Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 6, 2023, on our consideration of the Muscatine Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Muscatine Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Muscatine Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
December 6, 2023

THIS PAGE INTENTIONALLY LEFT BLANK

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

Muscatine Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2023. We encourage readers to consider this information in conjunction with the District's financial statements, which follow:

2022-23 FINANCIAL HIGHLIGHTS

The District showed an increase in net position of \$8,822,364 and an increase of \$11,263,191 during the years ended June 30, 2023 and 2022, respectively.

Total revenues for the fiscal year ended June 30, 2023 and 2022 of \$77,629,083 and \$73,139,013 were comprised of general revenues in the amount of \$54,587,649 and \$52,935,998 and program revenues totaling \$23,041,434 and \$20,203,015 respectively.

As of June 30, 2023, the District's governmental funds reported combined fund balances of \$49,968,600 an increase of \$24,233,188 in comparison to 2022. As of June 30, 2022, the District's governmental funds reported combined fund balances of \$25,735,412 an increase of \$4,099,592 in comparison to 2021.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

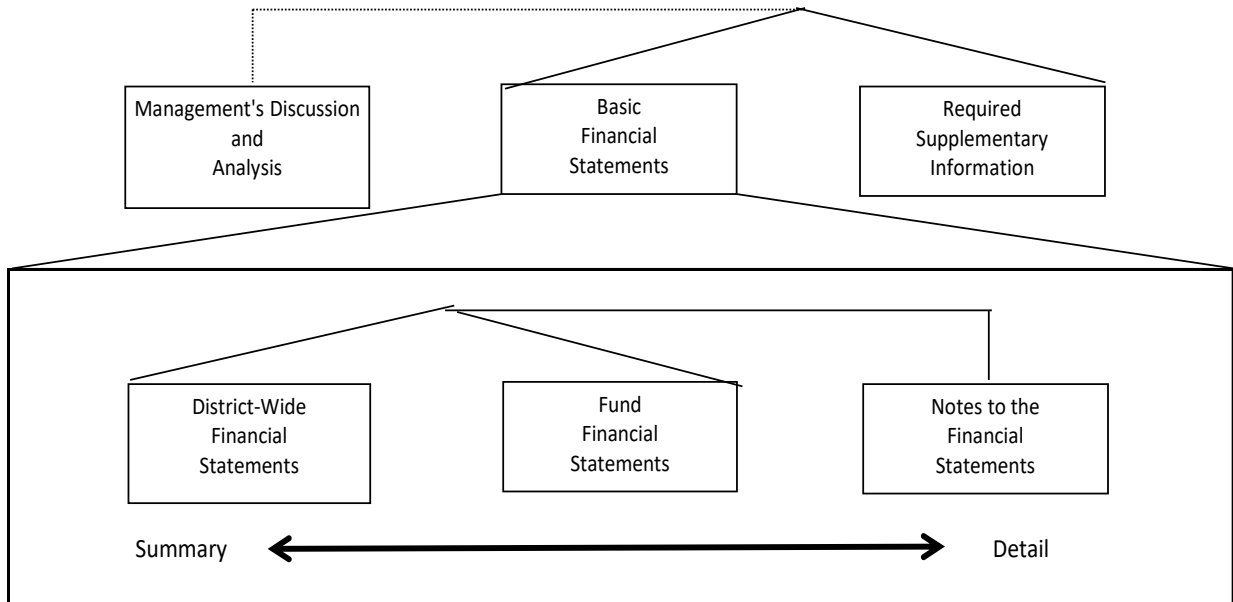
- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Muscatine Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report Muscatine Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Muscatine Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year.
- Other supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various programs benefitting the District.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Muscatine Community School District Annual Financial Report



Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: school nutrition and internal service fund	Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc.
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, and liabilities and deferred inflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows and liabilities and deferred inflows – are one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position are an indicator of whether financial position is improving or deteriorating, respectively. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

Business-type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

1. **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information in the reconciliations explains the relationship (or differences) between the two statements.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

The District's major governmental funds for 2022-23 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two special revenue funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a balance sheet and a statement of revenues, expenditures and changes in fund balances.

2. **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District has two types of proprietary funds. The District's Enterprise Fund, one type of proprietary fund, is the same as its business-type activities but provides more detail and additional information, such as cash flows. The District currently has one Enterprise Fund, the School Nutrition Fund.

Internal Service funds are used to report the same functions presented as governmental activities in the government-wide financial statements. The District maintains one internal service fund to account for the premium and claim payments for the self-insured health and dental insurance plan for District employees beginning July 1, 2021. Internal service funds are an accounting device used to accumulate and allocate costs internally among the District's various functions. Because the service provided by the District predominately benefits governmental, rather than business-type functions, it has been included within governmental activities in the government-wide financial statements.

The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

3. **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial funds: These are funds for which the District accounts for certain revenue collected for District employee purchases and as a fiscal agent for other entities.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds of the District include a statement of fiduciary net position, a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the fund financial statements follow the fund financial statements.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

Government-Wide Financial Analysis

Figure A-3 below provides a summary of the District's net position as of June 30, 2023 compared to June 30, 2022.

Figure A-3 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	Restated				Restated	
	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022
Current and other assets	\$ 80,015,356	\$ 53,946,219	\$ 2,176,386	\$ 1,941,347	\$ 82,191,742	\$ 55,887,566
Capital assets	60,843,713	54,894,444	444,128	343,995	61,287,841	55,238,439
Total assets	140,859,069	108,840,663	2,620,514	2,285,342	143,479,583	111,126,005
Deferred outflows of resources	4,739,978	4,820,819	151,228	153,558	4,891,206	4,974,377
Noncurrent liabilities	51,013,083	13,095,773	1,236,348	677,904	52,249,431	13,773,677
Other liabilities	12,079,318	8,151,453	114,163	106,305	12,193,481	8,257,758
Total liabilities	63,092,401	21,247,226	1,350,511	784,209	64,442,912	22,031,435
Deferred inflows of resources	27,303,052	45,570,692	116,301	812,095	27,419,353	46,382,787
Net position:						
Net investment in capital assets	59,954,963	54,673,076	444,128	343,995	60,399,091	55,017,071
Restricted	15,349,209	15,606,772	-	-	15,349,209	15,606,772
Unrestricted	(20,100,578)	(23,436,284)	860,802	498,601	(19,239,776)	(22,937,683)
Total net position	\$ 55,203,594	\$ 46,843,564	\$ 1,304,930	\$ 842,596	\$ 56,508,524	\$ 47,686,160

The District's combined net position as of June 30, 2023 increased by \$8,822,364 (18.5%) over the June 30, 2022 combined net position. Net position in the governmental activities increased by \$8,360,030 (17.8%). The net position of the District's business-type activities increased by \$462,334 (54.9%).

Net position increased primarily due to:

- The District's net pension liability and related deferred inflows and outflows experienced improved investment earning on an actuarial basis and reducing the District's net pension liability and related deferrals by approximately \$4.3 million.
- The District invested approximately \$6 million in capital facilities net of depreciation expense.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased by \$257,563 (1.7%).

Unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) increased by \$3,697,907 (16.1%).

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

Figure A-4 shows the changes in net position for the year ended June 30, 2023 compared to the year ended June 30, 2022.

Figure A-4 Changes in Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	Not restated				Not restated	
	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022
Revenues:						
Program revenues:						
Charges for services	\$ 1,803,974	\$ 1,326,420	\$ 623,227	\$ 132,787	\$ 2,427,201	\$ 1,459,207
Operating grants and contributions	14,454,878	14,299,397	3,301,443	3,927,797	17,756,321	18,227,194
Capital grants and contributions	2,857,912	516,614	-	-	2,857,912	516,614
General revenues:						
Property taxes	18,866,992	19,231,425	-	-	18,866,992	19,231,425
Income surtax	366,592	290,413	-	-	366,592	290,413
Utility excise tax	184,017	-	-	-	184,017	-
Other tax	40,872	-	-	-	40,872	-
State foundation aid	28,196,973	27,008,170	-	-	28,196,973	27,008,170
Statewide sales and services tax	5,529,515	5,762,198	-	-	5,529,515	5,762,198
Revenue in lieu of tax	4,854	608,190	-	-	4,854	608,190
Other	1,354,703	34,186	43,131	1,416	1,397,834	35,602
Total revenues	73,661,282	69,077,013	3,967,801	4,062,000	77,629,083	73,139,013
Expenses:						
Instruction	40,399,163	36,699,594	-	-	40,399,163	36,699,594
Support services	21,913,717	19,748,273	-	-	21,913,717	19,748,273
Noninstructional	36,674	39,581	3,445,467	3,133,822	3,482,141	3,173,403
Other	3,011,698	2,254,552	-	-	3,011,698	2,254,552
Total expenses	65,361,252	58,742,000	3,445,467	3,133,822	68,806,719	61,875,822
Excess (deficiency) of revenues over expenses before transfers	8,300,030	10,335,013	522,334	928,178	8,822,364	11,263,191
Transfers	60,000	(21,833)	(60,000)	21,833	-	-
Increase (decrease) in net position	8,360,030	10,313,180	462,334	950,011	8,822,364	11,263,191
Net position, beginning, as restated	46,843,564	36,480,153	842,596	(107,415)	47,686,160	36,372,738
Net position, ending	\$ 55,203,594	\$ 46,793,333	\$ 1,304,930	\$ 842,596	\$ 56,508,524	\$ 47,635,929

In 2022-23, property taxes, income surtax, utility excise tax, other taxes, state foundation aid, statewide sales and services tax, and revenue in lieu of tax accounted for 72.2% of the revenue from governmental activities while charges for services and grants and contributions accounted for 98.9% of the revenue from business-type activities.

The District's expenses primarily relate to instructional and support services which account for 90.6% of the total expenses.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

Total revenue for the District increased by \$4,490,070 (6.1%) in the fiscal year ended June 30, 2023. The most significant revenue category change was due to an increase in federal funding due to COVID relief funds of approximately \$2.6 million. Other income includes investment earnings which increased \$1.3 million due to increasing interest rates. Total District expenses increased by \$6,930,897 (11.2%), which is primarily due to expending COVID-19 relief funds, salaries and benefits increases, and increases in insurance and supplies.

Governmental Activities

Revenue for the District's governmental activities in 2022-23 increased by \$4,584,269 (6.6%) from the previous year, while governmental activities expenses increased by \$6,619,252 (11.3%). Governmental activities net position as of June 30, 2023 increased by \$8,360,030 (17.8%) over the June 30, 2022 balance.

The table below presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2023 compared to the year ended June 30, 2022.

	Total Cost of Services		Net Cost of Services	
	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022
Instruction	\$ 40,399,163	\$ 36,699,594	\$ 27,389,682	\$ 23,579,816
Support services	21,913,717	19,748,273	18,041,073	18,972,649
Noninstructional	36,674	39,581	36,674	39,581
Other	3,011,698	2,254,552	777,059	7,523
Total	\$ 65,361,252	\$ 58,742,000	\$ 46,244,488	\$ 42,599,569

For the year ended June 30, 2023:

- The cost financed by the users of the District's programs was \$1,803,974.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$17,312,790.
- The net cost of governmental activities was financed with \$18,866,992 in property taxes, \$366,592 in income surtax, \$184,017 in utility excise tax, \$40,872 in other tax, \$28,196,973 of unrestricted state grants, \$5,529,515 in statewide sales and services tax revenue, \$4,854 in revenue in lieu of tax, \$1,347,009 in investment earnings and \$7,694 gain on sale of capital assets.

For the year ended June 30, 2022:

- The cost financed by the users of the District's programs was \$1,326,420.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$14,816,011.
- The net cost of governmental activities was financed with \$19,231,425 in property taxes, \$290,413 in income surtax, \$27,008,170 of unrestricted state grants, \$5,762,198 in statewide sales and services tax revenue, \$608,190 in revenue in lieu of tax and \$34,186 in other revenues.

Business-Type Activities

The District's business-type activities include the School Nutrition Fund. Revenues of the District's business-type activities in 2022-23 were \$3,967,801, a decrease of \$94,199 (2.3%) from 2021-22 due to a decrease in the COVID-19 pandemic federal funding. Expenses were \$3,445,467; an increase of \$311,645 (9.9%) from 2021-22 primarily due to increases in supplies and food costs.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

Individual Fund Analysis

As previously noted, the Muscatine Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$49,968,600, which reflects an increase from last year's ending fund balances of \$25,735,412. The primary reason for the increase in the combined fund balances at the end of the 2022-23 fiscal year is due to an increase in the Capital Project Fund fund balance of \$24,887,026 due to the issuance of the Series 2022 and 2022B Revenue Bonds.

Governmental Fund Highlights

- The fund balance in the District's General Fund decreased by \$533,004 from \$11,939,087 as of June 30, 2022 to \$11,406,083 as of June 30, 2023. The decrease is primarily due to transfers out of COVID-19 funding to the Capital Projects Fund to fund capital improvements.
- The fund balance in the Capital Projects Fund increased by \$24,887,026. The statewide sales, service and use tax generated \$652,838 more in revenue in 2022-23 than in the previous fiscal year. Local tax generated from the physical plant and equipment levy was \$2,441,296 compared to the prior year of \$2,469,024 which represents a \$27,728 decrease from 2021-22. Total capital projects expenditures were \$10,734,859 in 2022-23 compared to \$3,903,891 in 2020-21. In the current year and prior year, major expenditures included the kitchen project and the secure entrances. The District issued \$25,000,000 in revenue bonds to fund future projects.

Proprietary Fund Highlights

The net position of the Nutrition Fund increased by \$462,334 during 2022-23. Revenues decreased \$94,199 primarily due to interest income increasing \$41,715 and charges for services increasing \$490,440 being offset by the decrease in federal grants of \$627,393 from the reduction in federal reimbursement rate to pre-pandemic programs. Expenses increased \$311,645 due to food and supplies cost.

Budgetary Highlights

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except private-purpose trust funds, internal service funds, and custodial funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes.

Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. It should also be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all funds of the District as noted above. This budget is certified with the County Auditor and the Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority. The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent balance is a budgetary concept and does not mean the actual General Fund cash. It is imperative for users of District financial information to make this important distinction.

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (unreserved, undesignated General Fund balance) of the District. Total revenues were \$4,163,215 more than budgeted, a variance of 5.6%. Total expenditures were \$5,539,269 less than budgeted, a variance of 6.6%.

Capital Asset and Debt Administration

Capital Assets

By the end of the 2022-23 fiscal year, the District had invested \$61,287,841 (net of accumulated depreciation of \$60,507,507) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. This amount represents a net increase of \$6,049,402 or 11.0% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$4,650,995.

Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District	
	Restated				Restated	
	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022
Land	\$ 1,543,843	\$ 1,454,234	\$ -	\$ -	\$ 1,543,843	\$ 1,454,234
Construction in progress	10,355,329	1,189,238	-	-	10,355,329	1,189,238
Buildings	41,348,919	44,516,763	-	-	41,348,919	44,516,763
Improvements other than buildings	4,204,714	4,481,252	-	-	4,204,714	4,481,252
Furniture and equipment	3,186,600	2,980,395	444,128	343,995	3,630,728	3,324,390
Right to use lease equipment	95,518	211,330	-	-	95,518	211,330
Right to use subscription asset	108,790	61,232	-	-	108,790	61,232
Total	\$ 60,843,713	\$ 54,894,444	\$ 444,128	\$ 343,995	\$ 61,287,841	\$ 55,238,439

Increases in the current year are primarily due to construction in progress projects including a centralized kitchen, student center and HVAC and secure entrance projects. More information regarding the District's capital assets is provided in Note 4 to the financial statements.

Long-Term Liabilities

As of June 30, 2023, the District had the following long-term liabilities:

	Governmental Activities		Business-Type Activities		Total School District	
	Restated				Restated	
	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022	June 30, 2023	June 30, 2022
Revenue bonds	\$ 25,000,000	\$ -	\$ -	\$ -	\$ 25,000,000	\$ -
Lease obligations	98,457	210,367	-	-	98,457	210,367
IT subscription liability	37,532	11,001	-	-	37,532	11,001
Compensated absences	102,882	101,489	-	-	102,882	101,489
Early retirement	1,666,729	1,299,365	-	-	1,666,729	1,299,365
Net OPEB liability	12,384,752	11,600,302	627,919	603,658	13,012,671	12,203,960
Net pension liability	15,667,226	536,222	608,429	74,246	16,275,655	610,468
Total	\$ 54,957,578	\$ 13,747,745	\$ 1,236,348	\$ 677,904	\$ 56,193,926	\$ 14,436,650

Muscatine Community School District

Management's Discussion and Analysis Year Ended June 30, 2023

More information regarding the District's long-term liabilities is provided in Notes 5, 6, and 7 to the financial statements.

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority is driven by increasing the number of pupils or increasing the cost per pupil. The legislature established an increase of "supplemental state aid" or SSA of 3.0% (\$222 per pupil) for the 2023/2024 school year. Funding at the state level continues to be a focal point for education. Low state supplemental aid increases are not satisfying cost of living increases as well as increased costs for operations.
- The October 1, 2023 certified student enrollment count, which is used to determine state foundation aid for the District for the 2024-25 school year, decreased by 150.98 to 4,423.79 from the October 1, 2022 count of 4,574.8. The number of open enrollment students from neighboring district's attending Muscatine Community School District increased from 82.1 to 82.4. The number of open enrollment students attending neighboring school districts increased from 253.1 to 254.1. The 171 open enrollment student net loss costs approximately \$1.27 million in expense for the District's general operating fund.
- The District's 4-year-old preschool program enrollment increased by 3 students to a total enrollment of 240. The State of Iowa provides funding for four-year-old students enrolled in the program at 50% of regular program cost per student or \$3,817.50 per student for the 2023-24 school year. The District serves 135 preschool students, down 19 from the year before, and three community partner's serve the other 105, up 22 from the year before.
- The district completed a \$1.2M high school renovation project to the old science wing for a Student Center. HVAC projects throughout the district are ongoing and a new \$5M Centralized Kitchen will be completed in November, 2023.
- The end of the Elementary and Secondary School Emergency Relief (ESSER) funds in September, 2024 will have a significant impact with on-going expenses that the district will have to prioritize.
- Staff recruiting and retention concerns at the local and state levels may negatively impact the educational services that the District is able to provide. In addition, it may become necessary for the District to substantially increase wages to recruit and/or retain staff. Based upon the level of increased wages, they could impact the District's budget negatively in the future.
- The increasing rate of inflation potentially surpassing the rate of increase in supplemental state aid may reduce the District's buying power.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Tom Anderson, Director of Finance and Budget, Muscatine Community School District, 2900 Mulberry Avenue, Muscatine, Iowa 52761.

Muscatine Community School District

Statement of Net Position

June 30, 2023

	Primary Government		
	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash and pooled investments	\$ 55,620,298	\$ 1,851,234	\$ 57,471,532
Receivables:			
Property tax:			
Current year	126,623	-	126,623
Succeeding year	20,509,076	-	20,509,076
Accounts	165,839	32,858	198,697
Income surtax	316,969	-	316,969
Due from other governments	3,276,551	205,153	3,481,704
Inventories	-	87,141	87,141
Total current assets	80,015,356	2,176,386	82,191,742
Noncurrent assets:			
Capital assets:			
Nondepreciable	11,899,172	-	11,899,172
Depreciable, net	48,944,541	444,128	49,388,669
Total noncurrent assets	60,843,713	444,128	61,287,841
Total assets	140,859,069	2,620,514	143,479,583
Deferred Outflows of Resources			
OPEB related deferred outflows	684,936	26,604	711,540
Pension related deferred outflows	4,055,042	124,624	4,179,666
Total deferred outflows of resources	4,739,978	151,228	4,891,206

	Primary Government		
	Governmental	Business-Type	
	Activities	Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	1,929,452	55,792	1,985,244
Salaries and benefits payable	5,477,913	15,484	5,493,397
Unearned revenue	-	42,887	42,887
Claims payable	650,000	-	650,000
Accrued interest	77,458	-	77,458
Revenue bonds	3,192,000	-	3,192,000
Lease obligations	98,457	-	98,457
IT subscription obligation	21,260	-	21,260
Compensated absences	102,882	-	102,882
Early retirement	529,896	-	529,896
Total current liabilities	12,079,318	114,163	12,193,481
Noncurrent liabilities:			
Revenue bonds	21,808,000	-	21,808,000
IT subscription obligation	16,272	-	16,272
Early retirement	1,136,833	-	1,136,833
Net OPEB liability	12,384,752	627,919	13,012,671
Net pension liability	15,667,226	608,429	16,275,655
Total noncurrent liabilities	51,013,083	1,236,348	52,249,431
Total liabilities	63,092,401	1,350,511	64,442,912
Deferred Inflows of Resources			
Succeeding year property tax	20,509,076	-	20,509,076
OPEB related deferred inflows	2,824,804	89,911	2,914,715
Pension related deferred inflows	3,969,172	26,390	3,995,562
Total deferred inflows of resources	27,303,052	116,301	27,419,353
Net Position			
Net investment in capital assets	59,954,963	444,128	60,399,091
Restricted for:			
Categorical funding	1,033,931	-	1,033,931
Debt service	343,458	-	343,458
Management levy	1,509,700	-	1,509,700
Physical plant and equipment levy	1,758,727	-	1,758,727
Student activities	284,876	-	284,876
School infrastructure	10,418,517	-	10,418,517
Unrestricted	(20,100,578)	860,802	(19,239,776)
Total net position	\$ 55,203,594	\$ 1,304,930	\$ 56,508,524

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Activities
Year Ended June 30, 2023

Functions/Programs	Expenses	Charges for Services
Governmental activities:		
Instruction	\$ 40,399,163	\$ 808,607
Support services:		
Student services	3,049,134	486,980
Instructional staff services	2,491,710	81,738
Administration services	6,107,029	384,415
Operation and maintenance of plant services	7,803,613	-
Transportation services	2,462,231	42,234
	21,913,717	995,367
Noninstructional programs	36,674	-
Other expenditures:		
Interest expense	777,059	-
AEA flowthrough	2,234,639	-
	3,011,698	-
Total governmental activities	65,361,252	1,803,974
Business-type activities:		
Food service operations	3,445,467	623,227
Total business-type activities	3,445,467	623,227
Total primary government	\$ 68,806,719	\$ 2,427,201
General revenues and transfers:		
General revenues:		
Property tax levied for:		
General purposes		
Capital outlay		
Other specific purposes		
Income surtax		
Utility excise tax		
Other taxes		
Statewide sales and services tax		
Revenue in lieu of tax		
Unrestricted state grants		
Unrestricted investment earnings		
Gain on sale of capital assets		
Transfers		
Total general revenues and transfers		
Change in net position		
Net position, beginning of year, as restated		
Net position, end of year		
See Notes to Basic Financial Statements.		

Program Revenues		Net (Expense) Revenue and Changes in Net Position			
Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total	
\$ 12,200,874	\$ -	\$ (27,389,682)	\$ -	\$ (27,389,682)	
-	-	(2,562,154)	-	(2,562,154)	
-	-	(2,409,972)	-	(2,409,972)	
-	-	(5,722,614)	-	(5,722,614)	
-	2,857,912	(4,945,701)	-	(4,945,701)	
19,365	-	(2,400,632)	-	(2,400,632)	
19,365	2,857,912	(18,041,073)	-	(18,041,073)	
-	-	(36,674)	-	(36,674)	
-	-	(777,059)	-	(777,059)	
2,234,639	-	-	-	-	
2,234,639	-	(777,059)	-	(777,059)	
14,454,878	2,857,912	(46,244,488)	-	(46,244,488)	
3,301,443	-	-	479,203	479,203	
3,301,443	-	-	479,203	479,203	
\$ 17,756,321	\$ 2,857,912	(46,244,488)	479,203	(45,765,285)	

15,433,714	-	15,433,714
2,441,296	-	2,441,296
991,982	-	991,982
366,592	-	366,592
184,017	-	184,017
40,872	-	40,872
5,529,515	-	5,529,515
4,854	-	4,854
28,196,973	-	28,196,973
1,347,009	43,131	1,390,140
7,694	-	7,694
60,000	(60,000)	-
54,604,518	(16,869)	54,587,649
8,360,030	462,334	8,822,364
46,843,564	842,596	47,686,160
\$ 55,203,594	\$ 1,304,930	\$ 56,508,524

Muscatine Community School District

**Balance Sheet
Governmental Funds
June 30, 2023**

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 14,503,120	\$ 37,206,747	\$ 2,133,857	\$ 53,843,724
Receivables:				
Property tax:				
Current year	103,852	16,076	6,695	126,623
Succeeding year	16,118,428	2,690,648	1,700,000	20,509,076
Accounts	108,366	-	20,701	129,067
Income surtax	316,969	-	-	316,969
Due from other governments	2,832,373	444,064	114	3,276,551
Total assets	\$ 33,983,108	\$ 40,357,535	\$ 3,861,367	\$ 78,202,010
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 663,715	\$ 1,242,404	\$ 23,333	\$ 1,929,452
Salaries and benefits payable	5,477,913	-	-	5,477,913
Total liabilities	6,141,628	1,242,404	23,333	7,407,365
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	16,118,428	2,690,648	1,700,000	20,509,076
Income surtax	316,969	-	-	316,969
Total deferred inflows of resources	16,435,397	2,690,648	1,700,000	20,826,045
Fund balances:				
Restricted for:				
Categorical funding	1,033,931	-	-	1,033,931
Debt service	-	-	343,458	343,458
Management levy	-	-	1,509,700	1,509,700
Physical plant and equipment levy	-	1,758,727	-	1,758,727
School infrastructure	-	34,665,756	-	34,665,756
Student activity purposes	-	-	284,876	284,876
Assigned	159,311	-	-	159,311
Unassigned	10,212,841	-	-	10,212,841
Total fund balances	11,406,083	36,424,483	2,138,034	49,968,600
Total liabilities, deferred inflows of resources and fund balances	\$ 33,983,108	\$ 40,357,535	\$ 3,861,367	\$ 78,202,010

See Notes to Basic Financial Statements.

Muscatine Community School District

Reconciliation of the Balance Sheet - Governmental Funds to the Statement of Net Position June 30, 2023

Total fund balances of governmental funds	\$ 49,968,600
---	---------------

Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and, therefore are not reported as assets in the governmental funds.	60,843,713
---	------------

Other long-term assets are not available to pay for current period expenditures and, therefore, are unavailable in the funds.	316,969
---	---------

Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the internal service fund are included in governmental activities in the statement of net position.	1,163,346
--	-----------

Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore are not reported in the governmental funds as follows:

OPEB related deferred outflows of resources	684,936
OPEB related deferred inflows of resources	(2,824,804)
Pension related deferred outflows of resources	4,055,042
Pension related deferred inflows of resources	(3,969,172)

Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds.

Compensated absences	(102,882)
Revenue bonds	(25,000,000)
Accrued interest	(77,458)
Equipment lease obligations	(98,457)
IT subscription liability	(37,532)
Early retirement	(1,666,729)
Net OPEB liability	(12,384,752)
Net pension liability	(15,667,226)

Net position of governmental activities	\$ 55,203,594
--	----------------------

See Notes to Basic Financial Statements.

Muscatine Community School District

**Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2023**

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Property tax	\$ 15,433,714	\$ 2,441,296	\$ 991,982	\$ 18,866,992
Utility excise tax	151,334	22,895	9,788	184,017
Income surtax	346,744	-	-	346,744
Other tax	33,613	5,085	2,174	40,872
Tuition	808,606	-	-	808,606
Private donations	281,759	-	-	281,759
Investment earnings	328,789	945,281	37,057	1,311,127
Other	196,299	5	517,305	713,609
State sources	37,353,337	6,318,470	258	43,672,065
Federal sources	8,160,418	-	-	8,160,418
Total revenues	63,094,613	9,733,032	1,558,564	74,386,209
Expenditures:				
Current:				
Instruction	39,254,774	-	973,752	40,228,526
Support services:				
Student services	3,279,608	-	6,548	3,286,156
Instructional staff services	2,609,593	16,201	7,117	2,632,911
Administration services	6,053,039	331,527	102,020	6,486,586
Operation and maintenance of plant services	5,706,057	229,555	779,678	6,715,290
Transportation services	1,731,609	231,418	117,067	2,080,094
	19,379,906	808,701	1,012,430	21,201,037
Noninstructional programs	-	-	36,674	36,674
Other expenditures:				
Facilities acquisition	-	10,734,859	-	10,734,859
Debt service:				
Principal	-	-	133,520	133,520
Interest and fiscal charges	-	218,867	480,734	699,601
AEA flowthrough	2,234,639	-	-	2,234,639
	2,234,639	10,953,726	614,254	13,802,619
Total expenditures	60,869,319	11,762,427	2,637,110	75,268,856
Excess (deficiency) of revenues over (under) expenditures	2,225,294	(2,029,395)	(1,078,546)	(882,647)
Other financing sources (uses):				
Proceeds from sale of capital assets	7,694	-	-	7,694
Issuance of long-term debt	48,141	25,000,000	-	25,048,141
Transfer in	60,000	2,857,911	957,712	3,875,623
Transfer (out)	(2,874,133)	(941,490)	-	(3,815,623)
Total other financing sources (uses)	(2,758,298)	26,916,421	957,712	25,115,835
Net change in fund balance	(533,004)	24,887,026	(120,834)	24,233,188
Fund balances, beginning of year	11,939,087	11,537,457	2,258,868	25,735,412
Fund balances, end of year	\$ 11,406,083	\$ 36,424,483	\$ 2,138,034	\$ 49,968,600

See Notes to Basic Financial Statements.

Muscatine Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities Year Ended June 30, 2023

Net change in fund balances - total governmental funds \$ 24,233,188

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:

Expenditures for capital assets	10,541,334	
Depreciation expense	(4,592,065)	
Proceeds from sale of capital assets	(7,694)	
Gain on sale of capital assets	<u>7,694</u>	5,949,269

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues:

Income surtax	19,848	
Statewide sales and services tax	<u>(788,351)</u>	(768,503)

Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue of the internal service fund is reported with governmental activities.

544,106

The issuance of long-term debt provides current financial resources to governmental funds, while the repayments of the principal of long-term debt consumes the current financial resources of governmental funds. The issuance of debt increases liabilities in the Statement of Net Position, while the repayment of long-term debt reduces long-term liabilities. The following is the detail of the net effect of these differences in the treatment of long-term debt related items:

Issuance of revenue bonds	(25,000,000)	
Issuance of IT subscription liability	(48,141)	
Change in accrued interest payable	(77,458)	
Repayment of lease	111,910	
Repayment of IT subscription liability	<u>21,610</u>	(24,992,079)

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	(1,393)	
Early retirement	(367,364)	
Net pension expense	4,260,534	
Net OPEB liability	<u>(497,728)</u>	3,394,049

Change in net position of governmental activities

\$ 8,360,030

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Net Position

Proprietary Funds

June 30, 2023

	Enterprise Fund	Governmental Activities
	School Nutrition	Internal Service Fund
Assets		
Current:		
Cash and cash equivalents	\$ 1,851,234	\$ 1,776,574
Accounts receivable	32,858	36,772
Intergovernmental receivable	205,153	-
Inventories	87,141	-
Total current assets	2,176,386	1,813,346
Noncurrent:		
Capital assets, net of accumulated depreciation	444,128	-
Total assets	2,620,514	1,813,346
Deferred Outflows of Resources:		
OPEB related deferred outflows	26,604	-
Pension related deferred outflows	124,624	-
Total deferred outflows of resources	151,228	-
Liabilities		
Current:		
Accounts payable	55,792	-
Salaries and benefits payable	15,484	-
Unearned revenue	42,887	-
Claims payable	-	650,000
Total current liabilities	114,163	650,000
Noncurrent:		
Net OPEB liability	627,919	-
Net pension liability	608,429	-
Total noncurrent liabilities	1,236,348	-
Total liabilities	1,350,511	650,000
Deferred Inflows of Resources:		
OPEB related deferred inflows	89,911	-
Pension related deferred inflows	26,390	-
Total deferred inflows of resources	116,301	-
Net Position		
Net investment in capital assets	444,128	-
Unrestricted	860,802	1,163,346
Total net position	\$ 1,304,930	\$ 1,163,346

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Revenues, Expenses and Changes in Net Position (Deficit)

Proprietary Funds

Year Ended June 30, 2023

	Enterprise Fund	Governmental Activities
	School Nutrition	Internal Service Fund
Operating revenues:		
Local sources, charges for services	\$ 623,227	\$ 6,180,588
Operating expenses:		
Noninstructional programs:		
Salaries	1,173,510	-
Benefits	362,261	-
Purchased services	3,799	5,672,364
Supplies	1,846,371	-
Depreciation	58,930	-
Other	596	-
Total noninstructional programs	3,445,467	5,672,364
Total operating expenses	3,445,467	5,672,364
Operating income (loss)	(2,822,240)	508,224
Nonoperating revenues:		
Interest on investments	43,131	35,882
State sources	21,550	-
Federal sources	3,279,893	-
Total nonoperating revenues	3,344,574	35,882
Income before transfers	522,334	544,106
Transfers (out)	(60,000)	-
Change in net position	462,334	544,106
Net position, beginning of year	842,596	619,240
Net position, end of year	\$ 1,304,930	\$ 1,163,346

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2023

	Enterprise Fund	Governmental Activities
	School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sale of lunches and breakfasts	\$ 607,246	\$ -
Cash received from miscellaneous operating activities	-	6,169,809
Cash payments to employees for services	(1,697,256)	(5,672,364)
Cash payments to suppliers for goods or services	(1,425,707)	-
Net cash provided by (used in) operating activities	(2,515,717)	497,445
Cash flows from noncapital financing activities:		
State grants received	21,550	-
Federal grants received	2,961,816	-
Transfers (out)	(60,000)	-
Net cash provided by noncapital financing activities	2,923,366	-
Cash flows (used in) capital related financing activities,		
Acquisition of capital assets	(159,063)	-
Cash flows from investing activities, interest on investments	43,131	35,882
Net increase in cash and cash equivalents	291,717	533,327
Cash and cash equivalents, beginning of year	1,559,517	1,243,247
Cash and cash equivalents, end of year	\$ 1,851,234	\$ 1,776,574
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:		
Operating income (loss)	\$ (2,822,240)	\$ 508,224
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	58,930	-
Commodities used	309,596	-
(Increase) in accounts receivable	(12,833)	(3,779)
Decrease in inventories	77,992	-
Increase (decrease) in accounts payable	37,471	(7,000)
(Decrease) in salaries and benefits payable	(26,465)	-
Increase in net OPEB liability and related deferred outflows of resources and deferred inflows of resources	15,393	-
(Decrease) in net pension liability and related deferred outflows of resources and deferred inflows of resources	(150,413)	-
(Decrease) in unearned revenue	(3,148)	-
Net cash provided by (used in) operating activities	\$ (2,515,717)	\$ 497,445
Schedule of noncash items:		
Noncapital financing activities, federal commodities	\$ 309,596	\$ -

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Fiduciary Net Position

Fiduciary Funds

June 30, 2023

	<u>Custodial</u>
Assets	
Cash and investments	\$ 146
Other receivables	<u>24</u>
Total assets	<u>170</u>
Net position, restricted	<u><u>\$ 170</u></u>

See Notes to Basic Financial Statements.

Muscatine Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Funds

Year Ended June 30, 2023

	<u>Custodial</u>
Additions:	
Other	\$ 2,713
Total additions	<u>2,713</u>
Deductions:	
Instruction:	
Administrative expenses	\$ 47,774
Total deductions	<u>47,774</u>
Change in net position	(45,061)
Net position, beginning of year	45,231
Net position, end of year	<u><u>\$ 170</u></u>

See Notes to Basic Financial Statements.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies

Muscatine Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades preschool through twelve and special education pre-kindergarten. The geographic area served includes the City of Muscatine, Iowa and the predominately agricultural territory of Muscatine County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Muscatine Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District; and (3) fiscal dependency. The District has no component units which meet the GASB criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Muscatine County Assessor's Conference Board.

Basis of presentation:

Government-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service. Interfund services provided and used are not eliminated in the process of consolidation for the statements.

The Statement of Net Position presents the District's nonfiduciary assets and liabilities, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

The Debt Service Fund accounts for the payment of general long-term debt principal, interest and related costs.

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two proprietary funds, an enterprise fund and an internal service fund.

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability. The District's major enterprise fund is the School Nutrition Fund which accounts for the food service operations of the District.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies (Continued)

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Custodial funds are used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds for which the District accounts for revenue collected for faculty accounts and related expenditures, and for funds collected for other various special group accounts.

Measurement focus and basis of accounting:

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

The property tax revenue recognized in these funds became due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2021 assessed property valuations; is for the tax accrual period July 1, 2022 through June 30, 2023 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2022.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid Items: The District accounts for prepaid items by using the purchases method.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets are tangible and intangible assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost, except for intangible right-to-use lease assets, the measurement of which is discussed in the ensuing lease policy. Donated capital assets are recorded at acquisition value at the date of donation. Acquisition value is the price that would be paid to acquire an asset with equivalent service potential on the date of the donation. Intangible assets include those purchased or internally generated as well as right-to-use leased intangible assets. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized.

Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years:

Asset Class	Amount
Land	\$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles:	
Purchased or internally generated	50,000
Furniture and equipment:	
School Nutrition Fund equipment	500
Other furniture and equipment	5,000

Land and construction in progress are not depreciated. Capital assets are depreciated / amortized using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Improvements other than buildings	15 years
Intangibles:	
Purchased or internally generated	2 - 20 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies (Continued)

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received but not earned. Unearned revenue in the governmental funds arises when assets are recognized before revenue recognition criteria have been satisfied. Unearned revenue consists primarily of grant advances, school registration fees and meal deposits collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2023.

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the governmental activities of the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into a contract that conveys control of the right to use information technology software. The District has recognized an IT subscription liability and an intangible right-to-use IT subscription asset in the government-wide financial statements.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies (Continued)

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use an IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalization implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Total OPEB Liability: For purposes of measuring total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the Muscatine Community School District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the Enterprise, School Nutrition Fund.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies (Continued)

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Fund balances that contain self-imposed constraints of the government to be used for a particular purpose. The authority to assign fund balances has been delegated to the Director of Finance. The District has assigned \$159,311 primarily for instructional programs. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for removal of an assignment.

Unassigned: All amounts not included in other spendable classifications as well as any deficit fund balance of any other governmental fund is reported as unassigned.

When an expenditure is incurred for purposes for which amounts in the committed, assigned, or unassigned fund balance classifications could be used, the District's policy is generally to first apply the expenditure to restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and other postemployment benefit expense, and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time.

The District's deferred inflows of resources in the government-wide statements consist of succeeding year property tax revenue, and unrecognized items not yet charged to pension expense and other postemployment benefit expense.

The District reports unavailable revenue in the governmental funds balance sheet from income surtax and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 1. Summary of Significant Accounting Policies (Continued)

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent debt proceeds of \$24,247,239. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2023 consists of \$1,033,931 for categorical funding, \$343,458 for debt service, \$1,509,700 for management levy purposes, \$1,758,727 for physical plant and equipment levy, \$284,876 for student activities, and \$10,418,517 for school infrastructure.

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing from all funds except for the internal service fund and custodial funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursements known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures.

The Code of Iowa also provides the District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2023, expenditures did not exceed the amounts budgeted.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 2. Cash and Pooled Investments

At June 30, 2023, the District had the following cash and investments:

District:

Deposits with financial institutions	\$ 33,222,909
Investment Pools, Iowa Schools Joint Investment Trust	958,956
Treasury Bills	23,288,283
Petty cash	1,530
	<u>\$ 57,471,678</u>

Authorized investments: The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

Interest rate risk: The District's investment policy limits the investment of operating funds in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but the maturities shall be consistent with the needs and use of the District. The District did not have investments subject to interest rate risk as of June 30, 2023.

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. As of June 30, 2023, the District's investments were as follows:

	Investment Maturities (in Years)					Level Input	Rating	
	Fair Value	Less than 1	1-5	6-10	>10		Standard & Poor	Fitch
Investment Pools, Iowa Schools Joint Investment Trust	\$ 958,956	\$ 958,956	\$ -	\$ -	\$ -	N/A	AAAm	N/A
Treasury Bills	23,288,283	17,376,988	5,911,285	-	-	2	AA+	AAA
Total	<u>\$ 24,247,239</u>	<u>\$ 18,335,944</u>	<u>\$ 5,911,285</u>	<u>\$ -</u>	<u>\$ -</u>			

At June 30, 2023, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Fund which are valued at amortized cost of \$958,956 pursuant to Rule 2a-7 under the investment Company Act of 2040. There were no limitations or restrictions on withdrawals of the ISJIT investments.

Credit risk: Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. The District does not have a policy specific to credit risk. The credit related to the District investments are in the table above.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 2. Cash and Investments (Continued)

Custodial credit risk: The District's cash and pooled investments consisted of depository accounts at financial institutions. The District's deposits in banks as of June 30, 2023 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The custodial credit risk for investments is the risk that in the event of the failure of the counterparty to a transaction, a government will not be able to recover the value of its investments of collateral securities that are in the possession of another party. As of June 30, 2023, the District's cash and pooled investments are not exposed to custodial credit risk. The District does not have a separate custodial credit risk policy from state statutes.

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2023 is as follows:

	Transfers In	Transfers Out
Major funds:		
General	\$ 60,000	\$ 2,874,133
Capital Projects	2,857,911	941,490
Other nonmajor governmental funds	957,712	-
Major fund, enterprise fund, School Nutrition	-	60,000
	<u>\$ 3,875,623</u>	<u>\$ 3,875,623</u>

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the nonmajor Debt Service Fund are to make principal and interest payments on the District's long-term debt.

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2023 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Business-type activities:				
Furniture and equipment	\$ 1,064,190	\$ 159,063	\$ -	\$ 1,223,253
Less accumulated depreciation	720,195	58,930	-	779,125
Business-type activities capital assets, net	<u>\$ 343,995</u>	<u>\$ 100,133</u>	<u>\$ -</u>	<u>\$ 444,128</u>

Muscatine Community School District

**Notes to Basic Financial Statements
Year Ended June 30, 2023**

Note 4. Capital Assets (Continued)

	Restated Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated and amortized:				
Land	\$ 1,454,234	\$ 89,609	\$ -	\$ 1,543,843
Construction in progress	1,189,238	9,166,091	-	10,355,329
Total capital assets not being depreciated and amortized	2,643,472	9,255,700	-	11,899,172
Capital assets being depreciated and amortized:				
Buildings	90,372,880	108,445	-	90,481,325
Improvements other than buildings	7,261,979	58,916	-	7,320,895
Furniture and equipment	9,278,043	997,347	13,460	10,261,930
Right to use lease equipment	401,514	-	-	401,514
Right to use subscription asset	86,333	120,926	-	207,259
Total capital assets being depreciated and amortized	107,400,749	1,285,634	13,460	108,672,923
Less accumulated depreciation and amortization for:				
Buildings	45,856,117	3,276,289	-	49,132,406
Improvements other than buildings	2,780,727	335,454	-	3,116,181
Furniture and equipment	6,297,648	791,142	13,460	7,075,330
Right to use lease equipment	190,184	115,812	-	305,996
Right to use subscription asset	25,101	73,368	-	98,469
Total accumulated depreciation and amortization	55,149,777	4,592,065	13,460	59,728,382
Total capital assets being depreciated and amortized, net	52,250,972	(3,306,431)	-	48,944,541
Governmental activities capital assets, net	\$ 54,894,444	\$ 5,949,269	\$ -	\$ 60,843,713

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 4. Capital Assets (Continued)

Depreciation expense was charged by the District as follows:

Governmental activities:	
Instruction	\$ 2,828,132
Support services:	
Instructional staff services	46,761
Administration services	7,932
Operation and maintenance of plant services	1,205,964
Transportation services	503,276
Total governmental activities depreciation and amortization expense	\$ 4,592,065
Business-type activities, food service operations	\$ 58,930

Note 5. Long-Term Liabilities

As summary of changes in long-term liabilities for the year ended June 30, 2023 is as follows:

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Series 2022 Revenue Bonds	\$ -	\$ 15,000,000	\$ -	\$ 15,000,000	\$ 1,905,000
Series 2022B Revenue Bonds	-	10,000,000	-	10,000,000	1,287,000
Compensated absences	101,489	385,926	384,533	102,882	102,882
Early retirement	1,299,365	816,938	449,574	1,666,729	529,896
Lease obligations	210,367	-	111,910	98,457	98,457
IT subscription liability	11,001	48,141	21,610	37,532	21,260
	\$ 1,622,222	\$ 26,251,005	\$ 967,627	\$ 26,905,600	\$ 3,944,495

Compensated Absences

The compensated absences attributable to the governmental activities will be paid primarily by the General Fund.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 5. Long-Term Liabilities (Continued)

Revenue Bonds

The Board of Education has authorized the District to issue \$32,000,000 in one or more series of School Infrastructure Sales, Services and Use Tax Revenue Bonds. On November 8, 2022, the District issued \$15,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2022 and on December 28, 2022, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2022B. The bonds were issued to build, furnish, and equip additions to existing school facilities as well as for demolition, remodeling, improvements and site improvements and the purchase and improvement of grounds. Details of the District's revenue bonds is as follows:

Issuance	Date of Issue	Interest Rates	Final Due Date	Annual Payments	Amount	Amount
					Originally Issued	Outstanding
Series 2022 Revenue Bonds	11/08/22	3.89	6/1/2030	\$1,905,000-\$2,396,000	\$15,000,000	\$15,000,000
Series 2022B Revenue Bonds	12/28/22	3.46	6/1/2030	\$1,287,000-\$1,578,000	10,000,000	10,000,000
Total						\$ 25,000,000

A summary of the annual principal and interest requirements to maturity by year is as follows:

Year Ending June 30,	Interest Rate	Series 2022			Interest Rate	Series 2022B		
		Principal	Interest	Total		Principal	Interest	Total
2024	3.89	\$ 1,905,000	\$ 583,500	\$ 2,488,500	3.46	\$ 1,287,000	\$ 346,000	\$ 1,633,000
2025	3.89	1,979,000	509,396	2,488,396	3.46	1,331,000	301,470	1,632,470
2026	3.89	2,057,000	432,412	2,489,412	3.46	1,378,000	255,417	1,633,417
2027	3.89	2,137,000	352,395	2,489,395	3.46	1,425,000	207,738	1,632,738
2028	3.89	2,220,000	269,266	2,489,266	3.46	1,475,000	158,433	1,633,433
2029-2030	3.89	4,702,000	276,112	4,978,112	3.46	3,104,000	161,997	3,265,997
Total		\$ 15,000,000	\$ 2,423,081	\$ 17,423,081		\$ 10,000,000	\$ 1,431,055	\$ 11,431,055

The Series 2022 and Series 2022B revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Projects Fund. The bonds have a first priority lien and are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District through their maturity in 2030. The bonds are not general obligations of the District. The pledge of statewide sales, services and use tax revenues constitutes approximately 67 percent of the annual statewide sales, services and use tax revenues of the District.

The total principal and interest remaining to be paid on the bonds is \$28,854,136. During the year ended June 30, 2023, principal of \$0 and interest of \$476,079 was paid on the bonds. Statewide sales, services and use tax revenues were \$6,317,866.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 5. Long-Term Liabilities (Continued)

The resolution providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, services and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall be disbursed to the Sinking Fund and Surplus Revenue Fund in order of priority.
- The required amount to be deposited in the Sinking Fund in any month shall be the equal monthly amount necessary to pay in full the installment of interest coming due on the next interest payment date, plus the equal monthly amount necessary to pay in full the installment of principal coming due on the next succeeding principal payment date until the full amount of such installment is on hand. If for any reason the amount on hand in the Sinking Fund exceeds the required amount, the excess shall be withdrawn and paid into the Reserve Fund.
- The Debt Service Reserve Fund will be funded to a balance equal to the Reserve Fund Requirements. Monies deposited in the Debt Service Reserve Fund shall be used solely for the purpose of paying principal and interest on the Bonds or Parity Obligations.
- All money thereafter remaining in the Revenue Fund at the close of each month may be used to pay for other expenses of the Project, pay or redeem the Bonds or obligations or for any lawful purpose.

As of June 30, 2023, the District had \$343,458 in the required resolution Sinking Fund accounts.

Early Retirement

The District offered a voluntary early retirement plan in fiscal year 2023 and 2022 to its certified employees.

2023 Plan:

The plan approved in fiscal year 2023 required eligible employees to be at least age 55 and 25 years of continuous service to the District. The eligible employees must be a certified teacher/nurse with a full-time equivalency of .75 FTE or be employed by the District in any capacity other than the certified teacher/nurse and considered full-time. The early retirement incentive is .04 times base annual earnings. For the contract year immediately preceding the employee's effective date of retirement times the number of years service not to exceed 33 years. The maximum aggregate payment over five years will not exceed \$50,000.

2022 Plan:

Eligible employees were required to be at least age 55 and employees must have completed 15 years of service to the District. Employees completed an application which was required to be approved by the Board of Education. The early retirement incentive for each eligible employee is equal to \$10,000 per year for five years.

As of June 30, 2023, the District had obligations to 64 participants with a total liability of \$1,666,729. Actual early retirement expenditures for the year ended June 30, 2023 totaled \$449,574. Early retirement obligations are generally liquidated by the Management Fund or the General Fund.

Early retirement is recorded as a long-term liability of the Governmental Activities in the government-wide financial statements.

Muscatine Community School District**Notes to Basic Financial Statements
Year Ended June 30, 2023****Note 5. Long-Term Liabilities (Continued)****Equipment Leases**

The District has entered into several leases for equipment. The leases expire June 30, 2024. The details of the leases are as follows:

Year Ending June 30,	Marco Lease			JD Leasing		
	Principal	Interest	Total	Principal	Interest	Total
2024	\$ 89,171	\$ 1,083	\$ 90,254	\$ 9,286	\$ 214	\$ 9,500
Total	\$ 89,171	\$ 1,083	\$ 90,254	\$ 9,286	\$ 214	\$ 9,500

Subscription-Based Information Technology Arrangements (SBITA)

The District has entered into several subscription based information technology arrangements (SBITA). The arrangements expire between June 30, 2024 and June 30, 2025. The details of the arrangements are as follows:

Year Ending June 30,	AEA Cyber Security			Naviance		
	Principal	Interest	Total	Principal	Interest	Total
2024	\$ 5,607	\$ 222	\$ 5,829	\$ 15,653	\$ 1,264	\$ 16,917
2025	-	-	-	16,272	644	16,916
Total	\$ 5,607	\$ 222	\$ 5,829	\$ 31,925	\$ 1,908	\$ 33,833

As of June 30, 2023, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	\$ 1,473,074,257
Debt limit, 5% of total assessed valuation	\$ 73,653,713
Amount of debt applicable to debt limit:	
Lease obligations	98,457
IT subscription liability	37,532
Total indebtedness	135,989
Legal debt margin	\$ 73,517,724

Note 6. Postemployment Benefits Other Than Pensions (OPEB)**General Information about the OPEB Plan**

Plan description: The District's defined benefit OPEB plan, Muscatine School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 6. Postemployment Benefits Other Than Pensions (OPEB) (Continued)

Benefits provided: The Plan provides medical and prescription drug benefits for retirees and their spouses. Participants must be age 55 or older at retirement with 15 or more years of service with the District. The medical/prescription drug coverage is provided through a fully insured plan with United Healthcare of River Valley. Retirees under 65 pay the same premium for the medical/prescription drug benefit as active employees.

The full monthly premium rates as of January 1, 2022 for each plan are as shown below:

Rate Tier	\$250 PPO	\$500 PPO	HDHP
Single	\$ 860	\$ 812	\$ 664
Spouse	771	727	593

Employees covered by benefit terms: At June 30, 2023, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	35
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	830
	<u>865</u>

Total OPEB Liability

The District's total OPEB liability of \$13,012,671 was measured as of June 30, 2023 and was determined by an actuarial valuation as June 30, 2022 rolled forward to June 30, 2023.

	Total OPEB Liability
Balance at July 1, 2022	\$ 12,203,960
Changes for the year:	
Service cost	950,683
Interest	487,110
Changes of benefit terms	-
Differences between expected and actual experience	-
Changes in assumptions or other inputs	(40,702)
Benefit payments	(588,380)
Other changes	-
Net changes	<u>808,711</u>
Balance at June 30, 2023	<u>\$ 13,012,671</u>

There were no changes as a result of benefit terms. Change in assumptions include the discount rate was changed from 4.09% in 2022 to 4.13% in 2023.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 6. Postemployment Benefits Other Than Pensions (OPEB) (Continued)

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	2.50% per annum
Salary increases	4.00% per annum
Discount rate	4.13% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	\$250 PPO Plan & \$500 PPO Plan - 6.00% High deductible Health Plan - 6.00% Ultimate Health Care Cost Trend Rate - 4.50%

The discount rate was based on the S&P Municipal Bond 20 Year High Grade Rate Index. Mortality rates were based on the RP-2014 generational table scaled using MP-17 and applied on a gender-specific basis. The actuarial assumptions used in the June 30, 2023 valuation were based on the results of an actuarial experience study for the period 2010–2022.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease	Discount Rate	1% Increase
	3.13%	4.13%	5.13%
Total OPEB liability	\$ 14,064,865	\$ 13,012,671	\$ 12,045,823

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	1% Decrease	Healthcare Cost Trend Rates	1% Increase
	(5.00% decreasing to 4.50%)	(6.00% decreasing to 4.50%)	(7.00% decreasing to 4.50%)
Total OPEB liability	\$ 11,643,034	\$ 13,012,671	\$ 14,634,315

For the year ended June 30, 2023, the District recognized OPEB expense of \$1,101,501.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 6. Postemployment Benefits Other Than Pensions (OPEB) (Continued)

At June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ (878,451)
Changes of assumptions or other inputs	711,540	(2,036,264)
Net difference between projected and actual investments	-	-
Total	\$ 711,540	\$ (2,914,715)

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:

2024	\$ (336,292)
2025	(336,292)
2026	(336,292)
2027	(336,292)
2028	(333,391)
Thereafter	(524,616)
	<u>\$ (2,203,175)</u>

Note 7. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 7. Pension and Retirement Benefits (Continued)

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2023, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll, for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2023 were \$3,444,358.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2023, the District reported a liability of \$16,275,655 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2022, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2022, the District's proportion was 0.430784 percent, which was an increase of 0.607615 from its proportion measured as of June 30, 2021.

For the year ended June 30, 2023, the District recognized pension expense (income) of (\$966,589).

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 7. Pension and Retirement Benefits (Continued)

At June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 721,498	\$ 222,940
Changes of assumptions	13,810	388
Net difference between projected and actual earnings on pension plan investments	-	1,742,257
Changes in proportion and differences between District contributions and proportionate share of contributions	-	2,029,977
District contributions subsequent to the measurement date	3,444,358	-
Total	<u>\$ 4,179,666</u>	<u>\$ 3,995,562</u>

\$3,444,358 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2024.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2024	\$ (2,186,970)
2025	(1,734,110)
2026	(2,551,466)
2027	3,274,421
2028	(62,129)
2029	<u>\$ (3,260,254)</u>

There were no non-employer contributing entities to IPERS.

Actuarial Assumptions – The total pension liability in the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement, as follows:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent, average, including inflation. Rates vary by membership group.
Long-term Investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 7. Pension and Retirement Benefits (Continued)

The actuarial assumptions used in the June 30, 2022 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2022 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0%	3.57%
International equity	17.5%	4.79%
Global smart beta equity	6.0%	4.16%
Core plus fixed income	20.0%	1.66%
Public credit	4.0%	3.77%
Cash	1.0%	0.77%
Private equity	13.0%	7.57%
Private real assets	8.5%	3.55%
Private credit	8.0%	3.63%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.0 percent. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.0 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.0 percent) or 1-percentage-point higher (8.0 percent) than the current rate.

	1% Decrease (6.0%)	Discount Rate (7.0%)	1% Increase (8.0%)
District's proportionate share of the net pension liability	\$ 30,323,503	\$ 16,275,655	\$ 3,895,641

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 7. Pension and Retirement Benefits (Continued)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2023, the District reported payables to the defined benefit pension plan of \$343,761 for legally required employer contributions and \$229,052 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

Muscatine Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

The District has established the internal service fund to account for a premium and claim payments for a self-insured group health and dental insurance plan for the District's employees to meet potential losses from medical claims. The District purchases commercial insurance to provide for aggregate stop-loss coverage for the excess of 125 percent of estimated claims for the plan year and specific stop-loss reinsurance coverage for the excess \$75,000 in insured claims for any one covered individual. Settled claims have not exceeded the commercial coverage in any of the past three calendar years.

Payments are made to the plan based on the actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for catastrophic losses. Liabilities are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Claims payable include all known claims and an amount for claims that have been incurred but not reported (IBNR). Claim liabilities are estimated by considering the effects of inflation, recent claims settlement trends, including frequency and amount of pay-outs and other economic and social factors.

The plan receives an annual actuarial opinion and an annual report is filed with the State of Iowa Insurance Division.

Changes in the balances of claims payable for health and dental during the years ending are as follows:

	2023	2022
Claims payable, beginning of year	\$ 657,000	\$ -
Incurred claims (including IBNR and changes in estimates)	7,085,009	5,798,063
Claim payments	7,092,009	5,141,063
Claims payable, end of year	<u>\$ 650,000</u>	<u>\$ 657,000</u>

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$2,234,639 for the year ended June 30, 2023 and is recorded in the General Fund.

Note 10. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2023 is comprised of the following programs

Program	Amount
Home school assistance program	\$ 197,844
Teacher leadership and compensation system	302,548
Teacher salary supplement	1,288
Successful progression for early readers	128,394
Professional development	88,601
Four-year-old preschool	286,055
Gifted and talented	21,684
Textbook aid for nonpublic students	7,517
Total	\$ 1,033,931

Note 11. Commitments

The District has entered into contracts totaling \$17,298,706 for various building renovations. As of June 30, 2023, costs of \$8,796,713 had been incurred against the contracts. The balance of \$8,501,993 remaining as of June 30, 2023 will be paid as work on the projects progress.

Note 12. 28E Agreement

The District participates in a Chapter 28E agreement with Muscatine Agricultural Learning Center, the Friends of the Muscatine FFA and Eastern Iowa Community College. The agreement is to remain in effect for a minimum period of ten years. In the event the Muscatine Agricultural Learning Center is dissolved, there is a plan to split the remaining balance and assets owned between the three partners in the agreement.

In accordance with the agreement, the Muscatine Agricultural Learning Center is to own and operate the facility to provide educational opportunities for students of Eastern Iowa Community College and the Muscatine Community School District. The Friends of the Muscatine FFA obtained financial support for the construction of the facility and have shared advisory and governance responsibilities with the other members of the agreement. Eastern Iowa Community College and the Muscatine Community School District provided funds for the construction of the facility as well as be a program and tenant partner of the learning center.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 13. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2023 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Muscatine, Iowa	Urban renewal and economic development projects	\$ 428,902
Muscatine County	Urban renewal and economic development projects	38,192

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2023, this reimbursement amounted to \$242,470.

Note 14. Governmental Accounting Standards Board (GASB) Statements

The District adopted the following statements during the year ended June 30, 2023:

GASB Statement No. 91, *Conduit Debt Obligations*, issued May 2019. This Statement clarifies the existing definition of a conduit debt obligation; establishing that a conduit debt obligation is not a liability of the issuer; establishing standards for accounting and financial reporting of additional commitments and voluntary commitments extended by issuers and arrangements association with conduit debt obligations; and improving required note disclosures. This Statement requires issuers to disclose general information about their conduit debt obligations organized by type of commitment, including the aggregate outstanding principal amount of the issuers' conduit debt obligations and a description of each type of commitment. Issuers that recognize liabilities related to supporting the debt service of conduit debt obligations also should disclose information about the amount recognized and how the liabilities changed during the reporting period.

GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, issued March 2020. The primary objective of this Statement is to improve financial reporting by addressing issues related to public-private and public-public partnership arrangements (PPPs). As used in this Statement, a PPP is an arrangement in which a government (the transferor) contracts with an operator (a governmental or nongovernmental entity) to provide public services by conveying control of the right to operate or use a nonfinancial asset, such as infrastructure or other capital asset (the underlying PPP asset), for a period of time in an exchange or exchange-like transaction. This Statement also provides guidance for accounting and financial reporting for availability payment arrangements (APAs). As defined in this Statement, an APA is an arrangement in which a government compensates an operator for services that may include designing, constructing, financing, maintaining, or operating an underlying nonfinancial asset for a period of time in an exchange or exchange-like transaction.

Muscatine Community School District

Notes to Basic Financial Statements Year Ended June 30, 2023

Note 14. Governmental Accounting Standards Board (GASB) Statements (Continued)

GASB Statement No. 96, *Subscription-Based Information Technology Arrangements*, issued May 2020. This Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users (governments). This Statement 1) defines a SBITA; 2) establishes that a SBITA results in a right-to-use subscription assets- an intangible asset- and a corresponding subscription liability; 3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and 4) requires note disclosures regarding a SBITA.

GASB Statement No. 99, *Omnibus 2022*, issued April 2022. The objectives of this Statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing (1) practice issues that have been identified during implementation and application of certain GASB Statements and (2) accounting and financial reporting for financial guarantees.

Other than the restatement for the implementation of GASB Statement No. 96 as discussed in Note 15, the implementation of the above statements did not have a material impact on the District's Financial Statements.

As of June 30, 2023, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 100, *Accounting Changes and Error Corrections- An Amendment of GASB Statement No. 62*, issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2024. The primary objective of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability.

GASB Statement No. 101, *Compensated Absences*, issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Muscatine Community School District

Notes to Basic Financial Statements
Year Ended June 30, 2023

Note 15. Restatement

Governmental Accounting Standards Board Statement No. 96, *Subscription-Based Information Technology Arrangements (SBITA)*, was implemented as of the beginning of the year ended June 30, 2023. The new requirements require the reporting of certain right-to-use subscription-based IT arrangements and liabilities which were previously not reported. The beginning net position of governmental activities was restated as follows:

	Governmental Activities
Net position June 30, 2022 as previously reported	\$ 46,793,333
Right to use subscription asset	86,333
Right to use subscription asset accumulated amortization	(25,101)
Subscription liability	(11,001)
Net position June 30, 2022 as restated	<u>\$ 46,843,564</u>

THIS PAGE INTENTIONALLY LEFT BLANK

Required Supplementary Information

Muscatine Community School District**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Six Fiscal Years**

	2023	2022
Total OPEB liability		
Changes for the year:		
Service cost	\$ 950,683	\$ 1,275,974
Interest	487,110	307,748
Changes of benefit terms	-	-
Differences between expected and actual experience	-	(930,129)
Changes in assumptions or other inputs	(40,702)	(2,378,099)
Benefit payments	(588,380)	(376,796)
Other changes	-	-
Net changes in total OPEB liability	808,711	(2,101,302)
Total OPEB liability - beginning	12,203,960	14,305,262
Total OPEB liability - ending	\$ 13,012,671	\$ 12,203,960
Covered employee payroll	\$ 36,126,238	\$ 34,733,055
Total OPEB liability as a percentage of covered employee payroll	36%	35%

Notes to Schedule:Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate. The following are the discount rates used in each period:

4.13%	4.09%
-------	-------

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

2021	2020	2019	2018
\$ 1,105,503	\$ 1,055,742	\$ 963,578	\$ 895,100
333,441	326,379	316,093	295,308
-	-	-	-
-	(304,474)	-	-
543,543	48,935	166,039	111,193
(425,284)	(357,516)	(387,137)	(529,164)
-	102,046	17,642	(145,967)
1,557,203	871,112	1,076,215	626,470
12,748,059	11,876,947	10,800,732	10,174,262
\$ 14,305,262	\$ 12,748,059	\$ 11,876,947	\$ 10,800,732
\$ 30,714,996	\$ 30,714,996	\$ 31,689,758	\$ 31,689,758
47%	42%	37%	34%
2.18%	2.66%	2.79%	2.98%

Muscatine Community School District

Required Supplementary Information

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2023**

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	\$ 22,553,726	\$ 666,358
State sources	43,672,065	21,550
Federal sources	8,160,418	3,279,893
Total revenues	74,386,209	3,967,801
Expenditures/expenses:		
Instruction	40,228,526	-
Support services	21,201,037	-
Noninstructional programs	36,674	3,445,467
Other expenditures	13,802,619	-
Total expenditures/expenses	75,268,856	3,445,467
Excess (deficiency) of revenues over (under) expenditures/expenses	(882,647)	522,334
Other financing sources (uses):		
Transfers, net	60,000	(60,000)
Proceeds from sale of capital assets	7,694	-
Issuance of long-term debt	25,048,141	-
Total other financing sources (uses)	25,115,835	(60,000)
Net change in fund balance	24,233,188	462,334
Fund balance/net position, beginning of year	25,735,412	842,596
Fund balance/net position, end of year	\$ 49,968,600	\$ 1,304,930

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual
		Original	Final	Variance
\$	23,220,084	\$ 20,981,141	\$ 20,981,141	\$ 2,238,943
	43,693,615	42,888,593	42,888,593	805,022
	11,440,311	10,321,061	10,321,061	1,119,250
	78,354,010	74,190,795	74,190,795	4,163,215
	40,228,526	41,304,035	42,054,035	1,825,509
	21,201,037	19,641,528	21,341,528	140,491
	3,482,141	3,698,778	3,948,778	466,637
	13,802,619	9,429,251	16,909,251	3,106,632
	78,714,323	74,073,592	84,253,592	5,539,269
	(360,313)	117,203	(10,062,797)	9,702,484
	-	-	-	-
	7,694	3,500	3,500	4,194
	25,048,141	-	-	25,048,141
	25,055,835	3,500	3,500	25,052,335
	24,695,522	\$ 120,703	\$ (10,059,297)	\$ 34,754,819
	26,578,008			
\$	51,273,530			

Muscatine Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Nine Fiscal Years

	2023*	2022*	2021*
District's proportion of the net pension liability	0.430784%	-0.176831%	0.443829%
District's proportionate share of the net pension liability	\$ 16,275,655	\$ 610,468	\$ 31,177,801
District's covered payroll	\$ 34,691,146	\$ 35,324,557	\$ 35,225,232
District's proportionate share of the net pension liability as a percentage of its covered payroll	46.92%	1.73%	88.51%
Plan fiduciary net pension as a percentage of the total pension liability	91.40%	100.81%	82.90%

*The amounts presented for each fiscal year were determined as of the prior fiscal-year end.

Note: The schedule is intended to present information for ten years. Information prior to 2015 is not available.

See Notes to Required Supplementary Information.

2020*	2019*	2018*	2017*	2016*	2015*
0.461709%	0.467878%	0.473695%	0.481257%	0.494997%	0.503636%
\$ 26,735,971	\$ 29,608,449	\$ 31,544,108	\$ 30,287,033	\$ 24,455,266	\$ 19,973,711
\$ 35,137,791	\$ 35,169,191	\$ 35,364,277	\$ 34,536,797	\$ 33,911,814	\$ 32,956,000
76.09%	84.19%	89.20%	87.69%	72.11%	60.61%
85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

Muscatine Community School District

Required Supplementary Information

Schedule of District Contributions (in Thousands)

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2023	2022	2021	2020
Statutorily required contribution	\$ 3,444	\$ 3,275	\$ 3,336	\$ 3,325
Contributions in relation to the statutorily required contribution	\$ (3,444)	\$ (3,275)	\$ (3,336)	\$ (3,325)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 36,487	\$ 34,691	\$ 35,235	\$ 35,225
Contributions as a percentage of covered payroll	9.44%	9.44%	9.47%	9.44%

See Notes to Required Supplementary Information.

2019		2018		2017		2016		2015		2014	
\$	3,317	\$	3,141	\$	3,158	\$	3,084	\$	3,028	\$	2,943
\$	(3,317)	\$	(3,141)	\$	(3,158)	\$	(3,084)	\$	(3,028)	\$	(2,943)
\$	-	\$	-	\$	-	\$	-	\$	-	\$	-
\$	35,138	\$	35,169	\$	35,364	\$	34,537	\$	33,912	\$	32,956
	9.44%		8.93%		8.93%		8.93%		8.93%		8.93%

Muscatine Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Accounting

This budgetary comparison is presented as required supplementary information in accordance with Government Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except private-purpose trust, internal service and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with generally accepted accounting principles.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functional areas, not by fund or fund type. These four functional areas are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The Code of Iowa also provides the District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. There was one amendment to the original budget during the year to increase expenditures \$5,000,000.

Note 2. Iowa Public Employees' Retirement System Pension Liability

There are no significant changes in benefit terms.

Changes of assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017
- Adjusted retirement rates
- Lowered disability rates
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

Muscatine Community School District

Notes to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

THIS PAGE INTENTIONALLY LEFT BLANK

Other Supplementary Information

Muscatine Community School District

**Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2023**

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Assets				
Cash and pooled investments	\$ 1,507,475	\$ 282,924	\$ 343,458	\$ 2,133,857
Receivables:				
Property tax:				
Current year	6,695	-	-	6,695
Succeeding year	1,700,000	-	-	1,700,000
Accounts	-	20,701	-	20,701
Due from other governments	114	-	-	114
Total assets	\$ 3,214,284	\$ 303,625	\$ 343,458	\$ 3,861,367
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 4,584	\$ 18,749	\$ -	\$ 23,333
Total liabilities	4,584	18,749	-	23,333
Deferred inflows of resources, Unavailable revenue-succeeding year property tax	1,700,000	-	-	1,700,000
Fund balance:				
Restricted	1,509,700	284,876	343,458	2,138,034
Total fund balances	1,509,700	284,876	343,458	2,138,034
Total liabilities, deferred inflows of resources and fund balances	\$ 3,214,284	\$ 303,625	\$ 343,458	\$ 3,861,367

Muscatine Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Governmental Funds

Year Ended June 30, 2023

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Revenues:				
Local sources:				
Property tax	\$ 991,982	\$ -	\$ -	\$ 991,982
Utility excise tax	9,788	-	-	9,788
Other tax	2,174	-	-	2,174
Investment earnings	31,681	5,376	-	37,057
Other	4,110	513,195	-	517,305
State sources	258	-	-	258
Total revenues	1,039,993	518,571	-	1,558,564
Expenditures:				
Current:				
Instruction	423,941	549,811	-	973,752
Support services:				
Student services	6,548	-	-	6,548
Instructional services	7,117	-	-	7,117
Administration services	102,020	-	-	102,020
Operation and maintenance of plant services	772,079	7,599	-	779,678
Transportation services	114,624	2,443	-	117,067
Noninstructional programs	36,674	-	-	36,674
Debt service:				
Principal	-	-	133,520	133,520
Interest	-	-	480,734	480,734
Total expenditures	1,463,003	559,853	614,254	2,637,110
(Deficiency) of revenues (under) expenditures	(423,010)	(41,282)	(614,254)	(1,078,546)
Other financing sources, transfer in	-	-	957,712	957,712
Net change in fund balances	(423,010)	(41,282)	343,458	(120,834)
Fund balances, beginning of year	1,932,710	326,158	-	2,258,868
Fund balances, end of year	\$ 1,509,700	\$ 284,876	\$ 343,458	\$ 2,138,034

Muscatine Community School District

**Schedule of Combining Balance Sheet
Capital Project Fund - By Account
June 30, 2023**

	Capital Projects Accounts			
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Other Capital Projects	Total
Assets				
Cash and pooled investments	\$ 11,016,504	\$ 1,943,004	\$ 24,247,239	\$ 37,206,747
Receivables:				
Property tax:				
Current year	-	16,076	-	16,076
Succeeding year	-	2,690,648	-	2,690,648
Due from other governments	443,797	267	-	444,064
Total assets	\$ 11,460,301	\$ 4,649,995	\$ 24,247,239	\$ 40,357,535
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 617,190	\$ 200,620	\$ 424,594	\$ 1,242,404
Total liabilities	617,190	200,620	424,594	1,242,404
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	-	2,690,648	-	2,690,648
Total deferred inflows of resources	-	2,690,648	-	2,690,648
Fund Balances:				
Restricted for:				
Physical plant and equipment	-	1,758,727	-	1,758,727
School infrastructure	10,843,111	-	23,822,645	34,665,756
Total fund balances	10,843,111	1,758,727	23,822,645	36,424,483
Total liabilities and fund balances	\$ 11,460,301	\$ 4,649,995	\$ 24,247,239	\$ 40,357,535

Muscatine Community School District

Combining Schedule of Revenues, Expenditures and Changes in Fund Balances

Capital Project Fund - By Account

Year Ended June 30, 2023

	Capital Projects Accounts			
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Other Capital Projects	Total
Revenues:				
Local sources:				
Property tax	\$ -	\$ 2,441,296	\$ -	\$ 2,441,296
Utility excise tax	-	22,895	-	22,895
Other tax	-	5,085	-	5,085
Investment earnings	385,563	54,190	505,528	945,281
Other	5	-	-	5
State sources	6,317,866	604	-	6,318,470
Total revenues	6,703,434	2,524,070	505,528	9,733,032
Expenditures:				
Current:				
Support services:				
Instructional staff services	-	16,201	-	16,201
Administration services	-	331,527	-	331,527
Operation and maintenance of plant services	-	229,555	-	229,555
Transportation services	-	231,418	-	231,418
Capital outlay, facilities acquisition	5,291,956	3,978,887	1,464,016	10,734,859
Debt service:				
Interest and fiscal charges	-	-	218,867	218,867
Total expenditures	5,291,956	4,787,588	1,682,883	11,762,427
Excess (deficiency) of revenues over expenditures	1,411,478	(2,263,518)	(1,177,355)	(2,029,395)
Other financing (uses):				
Issuance of long term debt	-	-	25,000,000	25,000,000
Transfer in	-	2,857,911	-	2,857,911
Transfer (out)	(819,537)	(121,953)	-	(941,490)
Total other financing (uses)	(819,537)	2,735,958	25,000,000	26,916,421
Net change in fund balance	591,941	472,440	23,822,645	24,887,026
Fund balance, beginning of year	10,251,170	1,286,287	-	11,537,457
Fund balance, end of year	\$ 10,843,111	\$ 1,758,727	\$ 23,822,645	\$ 36,424,483

THIS PAGE INTENTIONALLY LEFT BLANK

Fiduciary Funds

Muscatine Community School District

Combining Statement of Fiduciary Net Position

Fiduciary Funds- Custodial Funds

June 30, 2023

	Custodial		Total
	Insurance Fund	ECIMC Fiscal Agent Fund	
Assets:			
Cash and investments	\$ 146	\$ -	\$ 146
Other receivables	24	-	24
	<u>\$ 170</u>	<u>-</u>	<u>\$ 170</u>
Liabilities:			
Accounts payable	-	-	-
Net Position	<u>\$ 170</u>	<u>\$ -</u>	<u>\$ 170</u>

Muscatine Community School District

Combining Statement of Changes in Fiduciary Net Position

Fiduciary Funds- Custodial Funds

Year Ended June 30, 2023

	Custodial		
	Insurance	ECIMC Fiscal	
	Fund	Agent Fund	Total
Additions:			
Local sources:			
Other	\$ 2,090	\$ 623	\$ 2,713
Total additions	2,090	623	2,713
Deductions, current,			
Administrative expenses	1,920	45,854	47,774
Change in net position	170	(45,231)	(45,061)
Net position, beginning of year	-	45,231	45,231
Net position, end of year	\$ 170	\$ -	\$ 170

THIS PAGE INTENTIONALLY LEFT BLANK

Statistical Section

THIS PAGE INTENTIONALLY LEFT BLANK

Muscatine Community School District

Statistical Section Contents

The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time.	72 - 86
Revenue Capacity These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.	87 - 92
Debt Capacity These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	93 - 98
Demographic and Economic Information These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments.	99 - 100
Operating Information These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.	101 - 107

Schedule 1
Muscatine Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	2014	2015	2016	2017
Governmental activities:				
Net investment in capital assets	\$ 40,099,710	\$ 46,923,807	\$ 45,702,866	\$ 44,299,135
Restricted	8,481,871	4,936,794	8,549,840	10,634,314
Unrestricted	4,149,271	(18,322,531)	(14,563,450)	(21,033,968)
Business-type activities:				
Net investment in capital assets	234,401	205,788	178,122	159,578
Restricted	-	-	-	-
Unrestricted	148,698	(567,952)	(253,978)	(290,166)
Total primary government net position	\$ 53,113,951	\$ 33,175,906	\$ 39,613,400	\$ 33,768,893

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ 44,706,963	\$ 45,857,273	\$ 56,499,125	\$ 54,644,500	\$ 54,622,845	\$ 59,954,963
12,817,306	13,744,874	6,271,838	11,260,430	15,606,772	15,349,209
(21,869,993)	(23,916,653)	(28,250,419)	(29,435,352)	(23,436,284)	(20,100,578)
293,367	237,703	430,951	396,906	343,995	444,128
-	-	-	-	-	-
(308,552)	(307,079)	(940,477)	(504,321)	498,601	860,802
\$ 35,639,091	\$ 35,616,118	\$ 34,011,018	\$ 36,362,163	\$ 47,635,929	\$ 56,508,524

Schedule 2
Muscatine Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	2014	2015	2016	2017
Expenses:				
Governmental activities:				
Instruction	36,912,548	36,976,995	41,338,720	43,347,977
Student services	1,684,721	1,662,045	1,569,091	1,633,616
Instructional staff services	1,461,514	1,559,083	1,100,125	1,095,563
Administration services	6,438,142	6,487,486	6,384,601	7,388,213
Operation and maintenance of plant services	6,350,056	4,630,455	5,113,600	6,741,682
Transportation services	1,841,508	2,172,991	2,016,404	2,130,793
Noninstructional	20,770	42,635	39,303	71,289
Interest on long-term debt	-	9,731	-	-
AEA flowthrough	2,100,120	2,207,805	2,227,592	2,188,667
Depreciation (unallocated)	2,290,613	2,366,966	-	-
Total governmental activities	56,809,379	58,116,192	59,789,436	64,597,800
Business-type activities:				
Food service operations	3,141,685	2,704,480	2,471,149	2,520,856
Total business-type activities	3,141,685	2,704,480	2,471,149	2,520,856
Total primary government expenses	59,951,064	60,820,672	62,260,585	67,118,656
Program revenues:				
Governmental activities:				
Charges for services	1,420,769	1,816,146	1,700,056	1,819,678
Operating grants and contributions	7,087,035	12,002,620	11,732,304	11,333,959
Capital grants and contributions	10,000	-	-	-
Total governmental activities	8,517,804	13,818,766	13,432,360	13,153,637
Business-type activities:				
Charges for services	893,814	894,309	940,384	1,010,732
Operating grants and contributions	1,947,083	1,857,055	1,816,930	1,856,198
Capital grants and contributions	-	-	-	-
Total business-type activities	2,840,897	2,751,364	2,757,314	2,866,930
Total primary government revenues	11,358,701	16,570,130	16,189,674	16,020,567
Net (expense) revenues:				
Total governmental activities	(48,291,575)	(44,297,426)	(46,357,076)	(51,444,163)
Total business-type activities	(300,788)	46,884	286,165	346,074
Total primary government	\$ (48,592,363)	\$ (44,250,542)	\$ (46,070,911)	\$ (51,098,089)

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
41,772,323	43,314,984	44,170,510	41,812,013	36,699,594	40,399,163
2,266,884	2,417,633	2,352,438	2,381,632	2,811,996	3,049,134
3,035,618	2,537,509	2,567,827	2,858,838	2,322,656	2,491,710
6,702,042	6,768,712	6,907,640	6,419,036	5,606,906	6,107,029
5,597,853	5,496,058	6,528,785	6,893,340	6,370,244	7,803,613
1,711,612	2,864,267	2,447,356	2,471,995	2,636,471	2,462,231
56,864	53,384	34,468	63,626	39,581	36,674
-	-	23,802	14,232	7,523	777,059
2,232,030	2,223,267	2,234,604	2,245,266	2,247,029	2,234,639
-	-	-	-	-	-
63,375,226	65,675,814	67,267,430	65,159,978	58,742,000	65,361,252
2,592,265	2,731,280	2,758,212	3,043,110	3,133,822	3,445,467
2,592,265	2,731,280	2,758,212	3,043,110	3,133,822	3,445,467
65,967,491	68,407,094	70,025,642	68,203,088	61,875,822	68,806,719
1,977,538	1,926,772	2,469,963	1,035,923	1,326,420	1,803,974
11,073,851	11,278,903	10,888,353	12,701,568	14,299,397	14,454,878
-	-	-	1,000,000	516,614	2,857,912
13,051,389	13,205,675	13,358,316	14,737,491	16,142,431	19,116,764
932,166	714,572	479,666	96,197	132,787	623,227
1,696,149	1,966,766	1,842,749	3,344,758	3,927,797	3,301,443
87,159	-	-	-	-	-
2,715,474	2,681,338	2,322,415	3,440,955	4,060,584	3,924,670
15,766,863	15,887,013	15,680,731	18,178,446	20,203,015	23,041,434
(50,323,837)	(52,470,139)	(53,909,114)	(50,422,487)	(42,599,569)	(46,244,488)
123,209	(49,942)	(435,797)	397,845	926,762	479,203
\$ (50,200,628)	\$ (52,520,081)	\$ (54,344,911)	\$ (50,024,642)	\$ (41,672,807)	\$ (45,765,285)

Schedule 3
Muscatine Community School District

General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	2014	2015	2016	2017
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	16,819,798	15,630,757	16,030,349	16,382,742
Capital outlay	1,500,948	1,489,958	1,801,520	1,859,649
Other specific purposes	-	1,237,006	1,313,487	1,257,231
Income surtax	252,332	304,655	288,944	320,449
Statewide sales and services tax	4,650,907	5,333,846	5,021,639	5,005,378
Revenue in lieu of tax	-	-	-	741,288
Unrestricted state grants	29,582,851	27,744,373	28,014,759	27,659,942
Nonspecific program federal grant	-	-	-	-
Unrestricted Investment earnings	29,395	31,848	37,564	55,307
Other	250,821	-	-	-
Transfers	(256,400)	-	-	-
Total governmental activities	52,830,652	51,772,443	52,508,262	53,281,986
Business-type activities:				
Unrestricted Investment earnings	94	91	143	784
Other	7,358	-	-	-
Transfers	256,400	-	-	-
Total business-type activities	263,852	91	143	784
Total primary government	53,094,504	51,772,534	52,508,405	53,282,770
Change in net position:				
Total governmental activities	8,533,226	5,415,367	1,064,099	2,958,149
Total business-type activities	310,736	286,256	346,217	123,993
Total primary government	\$ 8,843,962	\$ 5,701,623	\$ 1,410,316	\$ 3,082,142

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
15,438,227	15,428,323	14,729,130	14,742,785	15,756,998	15,433,714
2,225,492	2,279,803	2,346,486	2,400,787	2,469,024	2,441,296
1,314,313	1,536,586	1,528,111	1,519,518	1,005,403	991,982
290,503	308,137	332,891	308,888	290,413	366,592
4,730,465	5,077,534	5,081,114	5,238,521	5,762,198	5,529,515
723,801	687,877	637,213	632,233	608,190	4,854
27,140,362	26,768,156	27,313,595	27,480,212	27,008,170	28,196,973
-	-	-	-	-	-
206,705	402,920	328,124	49,291	34,186	1,347,009
-	5,404	441,898	3,029	-	232,583
8,764	6,617	5,602	(3,743)	(21,833)	60,000
52,078,632	52,501,357	52,744,164	52,371,521	52,912,749	54,604,518
958	2,368	1,249	523	1,416	43,131
-	-	-	-	-	-
(8,764)	(6,617)	(5,602)	3,743	21,833	(60,000)
(7,806)	(4,249)	(4,353)	4,266	23,249	(16,869)
52,070,826	52,497,108	52,739,811	52,375,787	52,935,998	54,587,649
(391,507)	(1,407,757)	2,321,677	9,771,952	52,912,749	8,360,030
(57,748)	(440,046)	393,492	931,028	23,249	462,334
\$ (449,255)	\$ (1,847,803)	\$ 2,715,169	\$ 10,702,980	\$ 52,935,998	\$ 8,822,364

Schedule 4
Muscatine Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	2014	2015	2016	2017
General Fund:				
Nonspendable	\$ 57,373	\$ 73,669	\$ 66,360	\$ -
Restricted	1,145,846	1,672,511	1,327,564	1,156,085
Assigned	-	-	-	-
Unassigned	5,081,084	7,703,207	10,452,234	12,466,016
Total General Fund	6,284,303	9,449,387	11,846,158	13,622,101
All other governmental funds:				
Nonspendable	-	-	-	-
Restricted for:				
Management levy	971,903	907,227	987,832	968,826
Physical plant and equipment levy	725,367	832,202	1,714,864	1,034,046
School infrastructure	5,159,860	785,787	3,856,878	6,761,917
Debt service	-	-	-	-
Student activity purposes	417,668	418,918	408,570	409,639
Instructional programs	-	53,457	53,495	53,518
Support trust	61,227	-	-	-
Total all other governmental funds	7,336,025	2,997,591	7,021,639	9,227,946
Total governmental funds	\$ 13,620,328	\$ 12,446,978	\$ 18,867,797	\$ 22,850,047

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ 15,557	\$ 2,500	\$ -	\$ 1,606	\$ -	\$ -
685,896	705,960	431,302	520,584	1,022,096	1,033,931
36,752	36,301	60,534	76,093	143,324	159,311
12,965,694	12,020,555	10,644,009	10,294,149	10,773,667	10,212,841
13,703,899	12,765,316	11,135,845	10,892,432	11,939,087	11,406,083
-	-	-	694,723	-	-
1,060,803	1,513,601	1,939,713	1,624,403	1,932,710	1,509,700
1,251,599	972,601	1,513,947	2,698,575	1,286,287	1,758,727
9,198,953	10,041,605	1,818,964	5,414,312	10,251,170	34,665,756
-	-	-	-	-	343,458
322,837	228,747	277,377	311,375	326,158	284,876
53,333	31,588	31,318	-	-	-
-	-	-	-	-	-
11,887,525	12,788,142	5,581,319	10,743,388	13,796,325	38,562,517
\$ 25,591,424	\$ 25,553,458	\$ 16,717,164	\$ 21,635,820	\$ 25,735,412	\$ 49,968,600

Schedule 5
Muscatine Community School District

Governmental Funds Revenues
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	2014	2015	2016	2017
Local sources:				
Local tax	\$ 18,320,746	\$ 18,628,986	\$ 19,494,605	\$ 19,791,734
Tuition	583,016	530,347	453,670	632,257
Other revenues	1,412,458	1,317,747	1,237,625	1,242,727
Total local sources	20,316,220	20,477,080	21,185,900	21,666,718
State sources:				
Statewide sales, services and use tax	5,333,846	5,021,639	5,005,378	4,730,465
State foundation aid and state grants	\$ 33,261,278	\$ 37,361,833	\$ 37,788,815	\$ 37,698,636
Total state sources	38,595,124	42,383,472	42,794,193	42,429,101
Federal sources, federal grants	2,441,180	2,430,675	2,040,564	2,261,820
Total revenues	\$ 61,352,524	\$ 65,291,227	\$ 66,020,657	\$ 66,357,639

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ 19,478,972	\$ 19,843,188	\$ 18,924,223	\$ 18,959,719	\$ 19,547,749	\$ 19,438,625
533,893	503,304	622,077	562,040	640,251	808,606
1,394,914	1,529,784	2,176,011	1,643,106	1,078,897	2,306,495
21,407,779	21,876,276	21,722,311	21,164,865	21,266,897	22,553,726
5,077,534	5,070,647	5,072,669	4,806,557	5,665,028	6,317,866
36,498,300	36,409,590	36,952,814	37,392,218	36,731,914	37,354,199
41,575,834	41,480,237	42,025,483	42,198,775	42,396,942	43,672,065
2,151,907	2,325,347	1,886,347	3,301,861	5,340,726	8,160,418
\$ 65,135,520	\$ 65,681,860	\$ 65,634,141	\$ 66,665,501	\$ 69,004,565	\$ 74,386,209

Schedule 6
Muscatine Community School District

Governmental Funds Expenditures and Debt Service Ratio
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	2014	2015	2016	2017
Instruction	\$ 36,426,501	\$ 37,509,233	\$ 39,758,470	39,889,517
Student services	1,641,603	1,642,590	1,551,908	1,605,362
Instructional staff services	1,378,893	1,523,383	1,065,752	1,053,761
Administration services	6,340,544	6,456,225	6,339,083	7,172,972
Operation and maintenance of plant	5,355,512	4,928,889	4,889,562	5,172,014
Transportation services	1,841,780	1,912,098	1,765,709	1,966,010
Noninstructional programs	181,691	62,880	74,045	80,058
Capital outlay, facilities acquisition	5,030,721	9,609,011	2,208,369	3,666,962
Long term debt:				
Principal	596,507	607,138	-	-
Interest	21,460	10,829	-	-
AEA flowthrough	2,100,120	2,207,805	2,227,592	2,188,667
Total expenditures	\$ 60,915,332	\$ 66,470,081	\$ 59,880,490	\$ 62,795,323
Debt service as a percentage of noncapital expenditures	N/A	N/A	0.00%	0.00%

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ 38,155,452	\$ 39,501,315	\$ 39,639,483	\$ 37,726,518	\$ 37,919,349	\$ 40,228,526
2,213,283	2,403,268	2,251,659	2,289,440	3,033,934	3,286,156
2,993,896	2,482,642	2,431,121	2,766,544	2,509,883	2,632,911
6,437,236	6,516,189	6,673,957	6,174,406	6,327,461	6,486,586
5,259,618	5,737,353	5,569,627	6,042,770	6,099,963	6,715,290
1,545,824	2,483,398	1,933,584	1,946,085	2,266,944	2,080,094
71,401	60,260	46,318	36,740	39,581	36,674
3,515,809	4,324,155	15,042,686	2,046,244	3,903,891	10,734,859
-	-	472,118	446,152	566,475	133,520
-	-	-	25,966	19,591	699,601
2,232,030	2,223,267	2,234,604	2,245,266	2,247,029	2,234,639
\$ 62,424,549	\$ 65,731,847	\$ 76,295,157	\$ 61,746,131	\$ 64,934,101	\$ 75,268,856
0.00%	0.00%	0.77%	0.80%	0.97%	1.34%

Schedule 7
Muscatine Community School District

Other Financing Sources and Uses and Net Change in Fund Balances
Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	2014	2015	2016	2017
Excess (deficiency) of revenues over (under) expenditures	\$ (1,178,854)	\$ 6,140,167	\$ 3,562,316	\$ 2,710,971
Other financing sources (uses):				
Sale of capital assets	5,508	5,504	280,000	419,933
Capital leases	-	-	-	-
Issuance of long-term debt	-	-	-	-
Insurance proceeds	-	-	-	-
Transfers in	617,967	617,967	-	-
Transfers out	(617,967)	(617,967)	-	-
Total other financing sources (uses)	5,508	5,504	280,000	419,933
Net change in fund balances	\$ (1,173,346)	\$ 6,145,671	\$ 3,842,316	\$ 3,130,904

Source: District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ (49,987)	\$ (10,661,016)	\$ 4,919,370	\$ 4,070,464	\$ -	\$ (882,647)
21,642	5,404	441,898	3,029	26,738	7,694
-	-	1,377,222	-	24,223	-
-	-	-	-	-	25,048,141
-	-	-	-	-	-
8,764	6,617	5,602	526,931	1,039,981	3,875,623
-	-	-	(530,674)	(1,061,814)	(3,815,623)
30,406	12,021	1,824,722	(714)	29,128	25,115,835
\$ (19,581)	\$ (10,648,995)	\$ 6,744,092	\$ 4,069,750	\$ 29,128	\$ 24,233,188

THIS PAGE INTENTIONALLY LEFT BLANK

Schedule 8
Muscatine Community School District

Financial Solvency Ratio
Last Ten Fiscal Years
(Unaudited)

School Year	Unassigned/Assigned	Actual Revenues	Financial Solvency Ratio
2013-2014	\$ 5,138,457	\$ 51,970,538	9.89%
2014-2015	7,776,877	54,585,176	14.25%
2015-2016	10,518,594	54,997,281	19.13%
2016-2017	12,466,016	55,401,110	22.50%
2017-2018	13,004,226	53,843,042	24.15%
2018-2019	12,056,855	53,698,443	22.45%
2019-2020	10,704,543	52,700,748	20.31%
2020-2021	10,370,243	54,176,391	19.14%
2021-2022	10,916,991	56,936,147	19.17%
2022-2023	10,372,152	60,859,974	17.04%

Source: District financial records

Note: Actual revenues excludes AEA flowthrough

Schedule 9
Muscatine Community School District

Assessed Value and Actual Value of Taxable Property
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Actual Value			
	Residential Property	Commercial Property	Industrial Property	Other Property
2014	\$ 659,890,510	\$ 259,516,245	\$ 195,972,090	\$ 104,751,680
2015	678,712,836	256,168,542	185,846,854	105,321,342
2016	698,343,846	263,712,236	177,497,685	104,017,616
2017	720,534,047	246,832,599	187,072,974	141,113,273
2018	743,835,988	263,034,580	186,024,645	141,545,653
2019	741,181,339	276,595,354	198,990,531	146,914,997
2020	766,696,198	287,356,698	204,021,657	150,725,878
2021	772,270,929	290,860,495	204,021,414	138,636,389
2022	811,248,981	298,236,967	208,943,766	139,860,437
2023	809,863,051	299,725,389	211,880,535	140,039,778

Source: Iowa Department of Management and Muscatine County Auditor.

Notes: Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year and are applied to the second fiscal year following the tax assessment year.

(a) Per \$1,000 of assessed value.

	Less Exemptions	Total Taxable Value - Actual	Total Direct Rate (a)
\$	2,499,042	\$ 1,217,631,483	15.27597
	2,409,452	1,223,640,122	15.42605
	2,346,484	1,241,224,899	15.80950
	2,248,328	1,293,304,565	15.53914
	2,198,324	1,332,242,542	14.91989
	2,106,264	1,361,575,957	14.82884
	2,005,716	1,406,794,715	13.83172
	1,918,672	1,403,870,555	13.51952
	1,808,058	1,456,482,093	13.52839
	1,737,781	1,459,770,972	13.42230

Schedule 10
Muscatine Community School District

Direct and Overlapping Property Tax Rates
Last Ten Fiscal Years
(rate per \$1,000 of assessed value)
(Unaudited)

Fiscal Year Ended 30-Jun	District Direct Rates				Total
	General Purposes	Capital Purposes	Management Fund	Debt Service	
2014	13.62647	1.23000	0.41950	0.00000	15.27597
2015	13.14708	1.23000	1.04897	0.00000	15.42605
2016	13.32300	1.43000	1.05650	0.00000	15.80950
2017	13.09847	1.43000	1.01067	0.00000	15.53914
2018	12.21685	1.67000	1.03304	0.00000	14.91989
2019	11.97960	1.67000	1.17924	0.00000	14.82884
2020	11.01102	1.67000	1.15070	0.00000	13.83172
2021	10.73543	1.67000	1.11409	0.00000	13.51952
2022	11.14286	1.67000	0.71553	0.00000	13.52839
2023	11.03837	1.67000	0.71393	0.00000	13.42230

Source: Iowa Department of Management and Muscatine County Auditor.

Overlapping Rates			
City of Muscatine	Muscatine County	Community College	Other
15.67209	7.70380	0.92043	0.46972
15.67209	7.70380	0.92782	0.46646
15.67209	7.88491	0.96863	0.51081
15.67209	7.88396	1.00909	0.55054
15.67209	7.57719	1.03000	0.46629
15.67209	7.15000	1.03000	0.49942
15.67209	7.81123	0.99000	0.50555
15.67209	7.64393	0.82406	0.49479
15.67209	7.39481	0.92357	0.47934
15.97054	6.86153	0.94542	0.49604

Schedule 11
Muscatine Community School District

Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)

Name of Taxpayer	2023			2014		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
SSAB Iowa Inc	\$ 61,358,378	1	4.17%	\$ 73,405,870	1	6.03%
Grain Processing Corp	49,524,815	2	3.36%	40,012,880	2	3.29%
HNI Corporation	45,909,905	3	3.12%	33,926,520	3	2.79%
Wal-View Developments	29,683,431	4	2.02%	18,000,000	5	1.48%
MLC Land Company	13,985,505	5	0.95%			
Natural Gas Pipeline	13,520,657	6	0.92%	9,098,952	10	0.75%
Mendard Inc	10,458,477	7	0.71%	9,704,700	9	0.80%
GRIDCO LLC	10,115,976	8	0.69%			
Heinz HJ Company LP	9,851,949	9	0.67%	10,034,530	7	0.82%
Muscatine Downtown Investors	9,516,626	10	0.65%			
Central Iowa Power				23,713,737	4	1.95%
Wal-Mart Realestate Business				10,202,870	6	0.84%
Interstate Power & Light Co				9,804,748	8	0.81%
Total	<u>\$ 253,925,719</u>		<u>17.24%</u>	<u>\$ 237,904,807</u>		<u>19.54%</u>
Total Taxable Value	<u>\$ 1,473,074,257</u>			<u>\$ 1,217,631,483</u>		

Source: Muscatine County Auditor, State Auditor

Schedule 12
Muscatine Community School District

Property Tax Levies and Collections
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year		Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years (1)	Total Collections to Date	
			Amount	Percentage of Levy (1)		Amount	Percentage of Levy
2014	\$	18,279,641	\$ 18,271,673	99.96%	\$ (4,221)	\$ 18,267,452	99.93%
2015		18,473,208	18,311,358	99.12%	14,607	18,325,965	99.20%
2016		18,880,738	19,109,115	101.21%	4,605	19,113,720	101.23%
2017		19,387,762	19,465,309	100.40%	2,272	19,467,581	100.41%
2018		19,123,994	19,195,625	100.37%	(1,616)	19,194,009	100.37%
2019		19,440,875	19,499,200	100.30%	12,333	19,511,533	100.36%
2020		18,626,628	18,572,495	99.71%	2,598	18,575,093	99.72%
2021		18,425,815	18,624,465	101.08%	137,451	18,761,916	101.82%
2022		19,129,318	19,183,779	100.28%	3,166	19,186,944	100.30%
2023		19,017,615	19,051,010	100.18%	9,351	19,060,360	100.22%

Source: Iowa Department of Management, Muscatine County Auditor and School District financial records.

(1) The County is unable to provide the year to attribute to collections in subsequent years.

Schedule 13
Muscatine Community School District

Ratios of Net General Bonded Debt Outstanding
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	General Obligation Bonds	(1) Note Payable	(1) Leases	(1) IT Subscription Liability	(2) Less: Amounts Available in Debt Service Fund	Total	Percent of Actual Taxable Value of Property (a)	Per Capita (b)
2014	-	\$ 607,138	\$ -	\$ -	\$ -	\$ 607,138	0.05%	\$ 25
2015	-	-	-	-	-	-	-	-
2016	-	-	-	-	-	-	-	-
2017	-	-	-	-	-	-	-	-
2018	-	-	-	-	-	-	-	-
2019	-	-	-	-	-	-	-	-
2020	-	905,104	-	-	-	905,104	0.06%	38
2021	-	458,952	293,667	-	-	752,619	0.05%	32
2022	-	-	210,367	11,001	-	210,367	0.01%	9
2023	-	-	98,457	37,532	-	135,989	0.01%	6

Source: Iowa Department of Management, Muscatine County Auditor and School District financial records

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements

(a) Actual taxable value of property includes Tax Increment Financing valuation. Assessed value equals estimated actual value. See Schedule 9 for actual taxable value of property

(b) See Schedule 18 for population data.

(1) Notes payable, leases and IT subscription liability are paid from property taxes

(2) Debt Service Fund reserve is for revenue bonds. Revenue bonds are not paid from property taxes and not considered general bonded debt.

N/A = not available

Schedule 14
Muscatine Community School District

Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	General Obligation Bonds	Revenue Bonds	(1) Leases	IT Subscription Liability	Note Payable	Total Primary Government	Percentage of Personal Income	Per Capita
2014	-	-	\$ -	\$ -	\$ 607,138	\$ 607,138	0.06%	\$ 25
2015	-	-	-	-	-	-	-	-
2016	-	-	-	-	-	-	-	-
2017	-	-	-	-	-	-	-	-
2018	-	-	-	-	-	-	-	-
2019	-	-	-	-	-	-	-	-
2020	-	-	-	-	905,104	905,104	0.08%	38
2021	-	-	293,667	-	458,952	752,619	0.06%	32
2022	-	-	210,367	11,001	-	210,367	N/A	9
2023	-	25,000,000	98,457	37,532	-	25,135,989	N/A	1,056

Source: District financial records

N/A = not available.

(1) Notes payable and leases are paid from property taxes.

THIS PAGE INTENTIONALLY LEFT BLANK

Schedule 15
Muscatine Community School District

Direct and Overlapping Governmental Activities Debt
As of June 30, 2023
(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
City of Muscatine	\$ 22,635,000	94.73%	\$ 21,442,136
Muscatine County	9,005,000	59.68%	5,374,184
Eastern Iowa Community College (EICC)	16,925,000	9.20%	1,557,100
Subtotal, overlapping debt			<u>28,373,420</u>
District direct debt			<u>25,135,989</u>
Total direct and overlapping debt			<u><u>\$ 53,509,409</u></u>

Source: Scott County Auditor.

Notes:

Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2021 assessed values are used.)

Schedule 16
Muscatine Community School District

Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)

	2014	2015	2016	2017
Legal Debt Margin Calculation				
Assessed value	<u>\$ 1,217,631,483</u>	<u>\$ 1,223,640,122</u>	<u>\$ 1,241,224,899</u>	<u>\$ 1,293,304,565</u>
Debt limit (5% of assessed value)	60,881,574	61,182,006	62,061,245	64,665,228
Debt applicable to limit	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Legal debt margin	<u>\$ 60,881,574</u>	<u>\$ 61,182,006</u>	<u>\$ 62,061,245</u>	<u>\$ 64,665,228</u>
Total net debt applicable to the limit as a percentage of debt limit	0.00%	0.00%	0.00%	0.00%

Source: Iowa Department of Management, Muscatine County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2023					
Assessed value					<u>\$ 1,473,074,257</u>
Debt limit (5% of assessed value)					\$ 73,653,713
Debt applicable to limit					135,989
Legal debt margin					<u>\$ 73,517,724</u>
2018	2019	2020	2021	2022	2023
<u>\$ 1,332,242,542</u>	<u>\$ 1,361,575,957</u>	<u>\$ 1,406,794,715</u>	<u>\$ 1,419,937,655</u>	<u>\$ 1,470,923,950</u>	<u>\$ 1,473,074,257</u>
66,612,127	68,078,798	70,339,736	70,996,883	73,546,198	73,653,713
-	-	-	293,667	210,367	135,989
<u>\$ 66,612,127</u>	<u>\$ 68,078,798</u>	<u>\$ 70,339,736</u>	<u>\$ 70,703,216</u>	<u>\$ 73,335,831</u>	<u>\$ 73,517,724</u>
0.00%	0.00%	0.00%	0.42%	0.29%	0.18%

Schedule 17
Muscatine Community School District

Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Revenue Bonds				Coverage
	Revenue	Debt Service			
		Principal	Interest		
2014	\$ 4,650,907	n/a	n/a	n/a	
2015	5,067,154	n/a	n/a	n/a	
2016	5,087,694	n/a	n/a	n/a	
2017	5,206,015	n/a	n/a	n/a	
2018	4,633,834	n/a	n/a	n/a	
2019	5,070,647	n/a	n/a	n/a	
2020	5,072,669	n/a	n/a	n/a	
2021	4,806,557	n/a	n/a	n/a	
2022	5,665,028	n/a	n/a	n/a	
2023	6,317,866	n/a	476,079	13.3	

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax.

n/a = not applicable. No non-general obligation debt.

Schedule 18
Muscatine Community School District

Demographic and Economic Statistics
Last Ten Calendar Years
(Unaudited)

Calendar Year	Population (a)	Personal Income (b)	Per Capita Personal Income	Muscatine County Area Unemployment Rate (c) *
2014	23,819	\$ 949,925,539	\$ 39,881	5.20%
2015	23,819	1,005,233,257	42,203	4.50%
2016	23,819	1,029,528,637	43,223	3.80%
2017	23,819	1,050,012,997	44,083	3.80%
2018	23,819	1,082,192,446	45,434	3.20%
2019	23,819	1,110,417,961	46,917	2.60%
2020	23,819	1,147,051,583	48,157	2.70%
2021	23,797	1,216,859,595	51,135	5.80%
2022	23,797	N/A	N/A	4.70%
2023	23,797	N/A	N/A	3.20%

Source:

- (a) United States Census Bureau. The 2012/2013 population increase reflects the added population from areas annexed into the City in 2012 and 2013. The 2020/2021 population is from the 2020 census.
- (b) Bureau of Economic Analysis. Per capita income for the City of Muscatine is not available. amounts shown are for Muscatine County and reflect average per capita income for the calendar years which end midway through the fiscal years shown. Personal income for the City has been estimated using the per capita income for Muscatine County multiplied by the City's population.
- (c) Iowa Workforce Development

Notes: N/A = not available.

* Based on a ten-month period, January through October.

THIS PAGE INTENTIONALLY LEFT BLANK

Schedule 19
Muscatine Community School District

Principal Employers
Current Year and Nine Years Ago
(Unaudited)

Employer	2023			2014		
	Approximate Number of Employees (1)	Rank	Percentage of Estimated Total County Employment (2)	Approximate Number of Employees (1)	Rank	Percentage of Estimated Total County Employment (2)
HNI Corporation/The HON Company Allsteel	3,100	1	14.1%	3,600	1	15.90%
Grain Processing/Kent Feeds	949	2	4.3%	900	2	4.00%
Muscatine Community School District	839	3	3.8%	856	3	3.80%
Raymond-Muscatine, Inc (Formerly BT Prime Mover)	550	4	2.5%	287	11	1.30%
Hy-Vee Food Store	468	5	2.1%	431	5	1.90%
Bayer U.S. - Crop Science (Formerly Monsanto)	460	6	2.1%	400	6	1.80%
Musco Sports Lighting	411	7	1.9%	320	9	1.40%
Kraft-Heinz, U.S.A (Formerly Heinz, U.S.A.)	382	8	1.7%	372	7	1.60%
UnityPoint Health - Trinity Muscatine (Formerly Trinity Muscatine)	365	9	1.7%	488	4	2.10%
Wal-Mart Superstore	320	10	1.5%	325	8	1.40%
Muscatine Power & Water	260	11	1.2%	290	10	1.30%
City of Muscatine	235	12	1.1%	224	13	1.00%
Muscatine County	230	13	1.0%	200	14	0.90%
SECO Invenstment Co (Stanley Engineering Co.)	189	14	0.9%	281	12	1.20%
Bridgestone Bandag LLC (Formerly Bandag, Inc.)	140	15	0.6%	200	15	0.90%
Total	8,898		40.5%	9,174		40.50%

1. Muscatine Chamber of Commerce & Industry provided the 2023 employment figures. The 2014 figures were from City of Muscatine historical records and may be on a basis which differs from the data provided by the Muscatine Chamber of Commerce & Industry.
2. Iowa Workforce Development. Employment data for the City of Muscatine is not available. Employers listed are the largest in the immediate area of the City of Muscatine. Percentages shown are based on total employment in Muscatine County. The average monthly employment in Muscatine County was 21,937 in 2023 and 22,699 in 2014.

Schedule 20
Muscatine Community School District

Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)

	2014	2015	2016	2017
<u>Supervisory:</u>				
Superintendent	n/a	n/a	1.0	1.0
Assistant Superintendent	n/a	n/a	1.0	1.0
Principals	n/a	n/a	12.0	11.0
Assistant Principals	n/a	n/a	6.0	7.0
Directors	n/a	n/a	4.0	4.0
All Other Administrators/Supervisors	n/a	n/a	6.0	6.0
Total Supervisory	-	-	30.0	30.0
<u>Instruction:</u>				
Regular Program Teachers	n/a	n/a	340.0	333.2
Special Education Teachers	n/a	n/a	60.0	73.2
Instructional Coaches/PD Leads	n/a	n/a	15.0	13.5
Total Instruction	-	-	415.0	419.9
<u>Student services:</u>				
Guidance Counselors	n/a	n/a	12.0	10.0
Media Specialists/Librarians	n/a	n/a	5.0	3.7
Nurses	n/a	n/a	8.0	6.5
Other Student Support	n/a	n/a	4.0	6.0
Total Student Services	-	-	29.0	26.1
<u>Support and administration:</u>				
Office/Classified Professionals	n/a	n/a	17.0	19.0
Secretary/Clerical/Associates/ Paraprofessional	n/a	n/a	139.9	146.8
Custodial	n/a	n/a	37.9	31.3
Maintenance/Mechanics	n/a	n/a	10.0	11.0
Transportation	n/a	n/a	15.0	14.0
Food Service Workers	n/a	n/a	37.7	37.3
Food Service Support	n/a	n/a	4.0	4.0
All Other Support	n/a	n/a	1.0	1.0
Total Support and Administration	-	-	262.5	264.5
Total	-	-	736.5	740.5

Source: District financial records

Note: Information prior to 2016 is not available (n/a)

						Percentage Change 2014 - 2023
2018	2019	2020	2021	2022	2023	
1.0	1.0	1.0	1.0	1.0	1.0	0.00%
1.0	1.0	1.0	-	-	-	-100.00%
10.0	10.0	12.0	10.0	9.0	9.0	-25.00%
6.0	6.0	5.0	4.0	6.0	6.0	0.00%
4.0	5.0	5.0	7.0	8.0	8.0	100.00%
6.0	6.0	6.0	6.0	4.0	4.0	-33.33%
28.0	29.0	30.0	28.0	28.0	28.0	-6.67%
319.1	305.3	306.8	298.8	276.0	276.3	-18.75%
68.5	61.5	67.7	60.2	62.0	60.4	0.67%
19.0	20.0	14.8	13.0	16.0	19.0	26.67%
406.6	386.8	389.2	372.0	354.0	355.7	-14.30%
11.5	16.5	13.5	15.0	14.3	13.3	10.83%
4.0	5.0	4.0	4.0	5.0	5.0	0.00%
7.0	7.0	7.0	7.0	7.0	7.0	-12.50%
3.0	4.0	4.0	4.0	10.0	10.0	150.00%
25.5	32.5	28.5	30.0	36.3	35.3	21.72%
21.0	17.0	17.0	15.0	14.0	15.0	-11.76%
144.6	152.2	163.1	142.5	143.3	156.6	11.96%
33.9	33.1	32.7	34.0	34.0	39.9	5.25%
11.0	10.0	13.0	12.0	13.0	12.0	20.00%
13.0	13.0	12.3	12.5	12.5	13.0	-13.33%
35.5	35.0	41.2	36.9	39.4	38.2	1.33%
4.0	4.0	4.0	4.0	5.0	5.0	25.00%
1.0	3.0	3.0	3.0	3.0	3.0	200.00%
263.9	267.3	286.2	259.9	264.2	282.7	7.70%
724.0	715.6	733.9	689.9	682.4	701.6	-4.73%

Schedule 21
Muscatine Community School District

Operating Statistics
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Certified Enrollment	(1) Operating Expenditures	Cost Per Pupil	Percentage Change	Governmental Expenditures
2014	5,299.5	\$ 52,458,216	\$ 9,899	2.17%	\$ 60,915,332
2015	5,344.4	53,627,898	10,034	1.37%	66,470,081
2016	5,328.4	54,828,103	10,290	2.55%	59,880,490
2017	5,170.0	55,813,833	10,796	4.92%	62,795,322
2018	5,084.2	55,993,274	11,013	2.01%	62,424,549
2019	4,935.8	56,860,292	11,520	4.60%	65,731,847
2020	4,894.0	56,564,823	11,558	0.33%	76,295,157
2021	4,811.8	59,227,769	12,309	6.50%	61,746,131
2022	4,690.0	60,444,144	12,888	4.70%	64,934,101
2023	4,604.5	60,869,319	13,220	2.57%	75,268,856

Source: Nonfinancial information from District records. District financial records.

(1) Operating expenditures are total governmental expenditures less debt service and capital outlay.

Cost Per Pupil		Percentage Change	Teaching Staff	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced Price Meals
\$	11,495	-1.35%	400	7.55%	54.24% FY14
	12,437	8.20%	413	7.73%	53.64% FY15
	11,238	-9.64%	440	8.26%	53.35% FY16
	12,146	8.08%	440	8.51%	52.52% FY17
	12,278	1.09%	429	8.44%	53.05% FY18
	13,317	8.46%	415	8.41%	55.01% FY19
	15,589	17.06%	414	8.45%	53.24% FY20
	12,832	-17.69%	398	8.27%	50.18% FY21
	13,845	7.90%	383	8.17%	52.20% FY22
	16,347	18.07%	381	8.27%	55.52% FY23

Schedule 22
Muscatine Community School District

School Building Information
Last Ten Fiscal Years
(Unaudited)

School	2014	2015	2016	2017
Muskie ELC (1962)				
Square feet, 1962, 78, 01	29,438	29,438	29,438	29,438
Capacity*	260	260	260	260
Enrollment	303	283	261	262
Franklin Elementary (1954)				
Square feet, 1954, 12	35,557	35,557	35,557	35,557
Capacity*	300	300	300	300
Enrollment	323	309	293	298
Grant Elementary (1954)				
Square feet, 1954, 71, 01, 09	37,233	37,233	37,233	37,233
Capacity*	300	300	300	300
Enrollment	315	318	341	368
Jefferson Elementary (1928) (2015)				
Square feet, 2015	53,226	66,000	66,000	66,000
Capacity*	n/a	450	450	450
Enrollment	364	344	362	440
Madison Elementary (1954)				
Square feet, 1954, 65, 69, 02, 08-09, 11	43,229	43,229	43,229	43,229
Capacity*	450	450	450	450
Enrollment	286	308	290	293
McKinley Elementary (1960)				
Square feet, 1960, 65, 67, 00, 08, 19	50,832	50,832	50,832	50,832
Capacity*	n/a	n/a	n/a	n/a
Enrollment	340	325	320	413
Mulberry Elementary (1961)				
Square feet, 1965, 77, 00, 10	38,300	38,300	38,300	38,300
Capacity*	300	300	300	300
Enrollment	269	297	290	304
Washington Elementary				
Square feet	48,870	48,870	48,870	CLOSED
Capacity*	n/a	n/a	n/a	
Enrollment	356	322	277	
Central Middle School (1938)				
Square feet, 1938, 91, 07	132,223	132,223	132,223	132,223
Capacity*	n/a	n/a	n/a	n/a
Enrollment	580	584	556	563
Susan Clark JH (West MS) (1960)				
Square feet, 1960, 66, 71, 88, 06	109,873	109,873	109,873	109,873
Capacity*	770	770	770	770
Enrollment	638	623	622	582
Muscatine High School (1973)				
Square feet, 1973, 82, 96, 04, 13, 19	325,969	325,969	325,969	325,969
Capacity*	1,750	1,750	1,750	1,750
Enrollment	1,544	1,557	1,453	1,459

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each
 * Elementary Buildings were PK-5 or K-5 through 2017; K-6 beginning in 2018
 * Muskie ELC was Colorado Elementary through 2017; Preschool/PK beginning in 2018
 * Two Middle Schools were 6-8 through 2019; 7-8 in 2020

Fiscal Year					
2018	2019	2020	2021	2022	2023
29,438	29,438	29,438	29,438	29,438	29,438
260	260	260	260	260	260
244	229	217	212	244	190
35,557	35,557	35,557	35,557	35,557	35,557
300	300	300	300	300	300
295	309	317	260	239	265
37,233	37,233	37,233	37,233	37,233	37,233
300	300	300	300	300	300
362	324	363	326	326	299
66,000	66,000	66,000	66,000	66,000	66,000
450	450	450	450	450	450
447	478	497	455	447	434
43,229	43,229	43,229	43,229	43,229	43,229
450	450	450	450	450	450
257	250	462	428	427	425
50,832	61,300	61,300	61,300	61,300	61,300
n/a	450	450	450	450	450
424	415	471	470	484	448
38,300	38,300	38,300	38,300	38,300	38,300
300	300	300	300	300	300
250	254	299	292	266	259
CLOSED	CLOSED	CLOSED	CLOSED	CLOSED	CLOSED
132,223	132,223	132,223	CLOSED	CLOSED	CLOSED
n/a	n/a	n/a			
574	602	390			
109,873	109,873	109,873	109,873	109,873	109,873
770	770	770	770	770	770
547	520	364	740	742	662
325,969	325,969	359,969	359,969	359,969	359,969
1,750	1,750	1,750	1,750	1,750	1,750
1,495	1,476	1,456	1,491	1,485	1,537

Schedule 23
Muscatine Community School District

Certified Staff Salaries
Last Ten Fiscal Years
(Unaudited)

School Year	Minimum	Maximum	Average
2013-2014	n/a	n/a	n/a
2014-2015	\$ 36,393	\$ 73,677	\$ 51,211
2015-2016	36,876	75,096	52,480
2016-2017	36,981	75,418	52,800
2017-2018	37,297	75,990	52,708
2018-2019	37,307	76,003	54,020
2019-2020	37,300	75,993	54,207
2020-2021	38,036	77,400	55,713
2021-2022	38,549	78,350	56,767
2022-2023	40,549	80,350	58,213

Source: District personnel records.
Note: n/a = not available

Compliance

THIS PAGE INTENTIONALLY LEFT BLANK

Muscatine Community School District

Schedule of Expenditures of Federal Awards
Year Ended June 30, 2023

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Total Federal Expenditures
Indirect:				
U.S. Department of Agriculture:				
Pass-Through Iowa Department of Education:				
<i>Child Nutrition Cluster Program:</i>				
School Breakfast Program	10.553	FY23 4552	\$ -	\$ 649,543
National School Lunch Program	10.555	FY23 4553	-	1,796,792
National School Lunch Program- Supply Chain Assistance	10.555	FY23 4014	-	205,235
Commodities -DOD (Noncash)	10.555	FY23	-	172,605
Commodities (Noncash)	10.555	FY23	-	136,991
			-	2,311,623
Summer Food Service Program for Children	10.559	FY23 4556	-	205,153
Fresh Fruit and Vegetable Program	10.582	FY23 4557	-	113,574
Total Child Nutrition Cluster,				
U.S. Department of Agriculture			-	3,279,893
U.S. Department of Education:				
Pass-Through Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY23 4501	-	1,059,049
<i>Special Education IDEA Cluster,</i>				
Special Education - Grants to States (IDEA, Part B)	84.027	FY23 4625	-	91,846 (1)
Career and Technical Education- Basic Grants to States	84.048	FY23 4531	-	64,802
Supporting Effective Instruction State Grants Stronger	84.367	FY23 4643	-	163,037
Connections Grant Program	84.424F	FY23 4668	-	5,053
Student Support and Academic Enrichment Education	84.424	FY23 4669	-	64,160
Stabilization Fund:				
COVID-19 Elementary and Secondary School				
Emergency Relief (ESSER II) Fund	84.425D	FY23 4055	-	993,885
COVID-19 ARP- Elementary and Secondary School				
Emergency Relief (ARP-ESSER) Fund	84.425U	FY23 4043	-	876,660
COVID-19 ARP- Elementary and Secondary School				
Emergency Relief (ARP-ESSER) Fund	84.425U	FY23 4045	-	4,160,538
			-	5,037,198 (2)
COVID-19 ARP-Elementary and Secondary School				
Emergency Relief (ARP-HCY-II) Fund	84.425W	FY23 4044	-	12,594
Pass-Through Davenport Community School District:				
COVID-19 ARP-Elementary and Secondary School				
Emergency Relief (ARP-ESSER) Fund	84.425U	FY23 4047	-	21,331 (2)
			-	33,925
Total Education Stabilization Fund			-	6,065,008
Pass-Through Mississippi Bend Area Education Agency:				
<i>Special Education IDEA Cluster,</i>				
Special Education - Grants to States (IDEA, Part B)	84.027	FY23 4521-4720	-	228,571 (1)
Title III English Language Acquisition State Grants	84.365	FY23 4644-4720	-	539
			-	229,110
Pass-Through State of Iowa Vocational Rehabilitation:				
Vocational Rehabilitation Grants to States	84.126	FY23 4598	-	66,490
Total U.S. Department of Education			-	7,808,555
U.S. Department of Health and Human Services				
Pass-Through Iowa Department of Education:				
COVID-19 Public Health Emergency Response: Cooperative				
Agreement for Emergency Response: Public Health Crisis	93.354	FY23 4624	-	100,000
Total Expenditures of Federal Awards			\$ -	\$ 11,188,448

(1) Total federal assistance listing number Special Education Cluster, 84.027 \$320,417.

(2) Total federal assistance listing number 84.425U \$5,058,529.

See notes to schedule of expenditures of federal awards.

THIS PAGE INTENTIONALLY LEFT BLANK

Muscatine Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2023

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Muscatine Community School District under programs of the federal government for the year ended June 30, 2023. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures reported on the schedule of expenditures of federal awards are reported on the modified accrual or accrual basis of accounting based on the fund type of the program. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of the basic financial statements. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when its both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

THIS PAGE INTENTIONALLY LEFT BLANK



Muscatine Community School District
2900 Mulberry Ave
Muscatine, Iowa 52761

Phone:
(563) 263-7223

Muscatine Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2023**

		Reason for Recurrence and Corrective Action Plan or Other Explanation
Findings	Status	

Other Findings Related to Required Statutory Reporting:

IV-H-22	There were variances in certified enrollment.	Not corrected.	Student data changes are not timely communicated. See IV-H-23
---------	---	----------------	---

THIS PAGE INTENTIONALLY LEFT BLANK



**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With Government Auditing Standards**

To the Board of Education
Muscatine Community School District
Muscatine, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Muscatine Community School District (the District) as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated December 6, 2023.

Our report includes an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 96.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Muscatine Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of non-compliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2023 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 6, 2023



**Independent Auditor's Report on Compliance For Each
Major Federal Program and Report on Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
Muscatine Community School District
Muscatine, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Muscatine Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2023. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Muscatine Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error; as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- exercise professional judgment and maintain professional skepticism throughout the audit,
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 6, 2023

THIS PAGE INTENTIONALLY LEFT BLANK

Muscatine Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2023**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued:

Unmodified

Internal control over financial reporting:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☐

Yes

☒

None Reported

• Noncompliance material to financial statements noted?

☐

Yes

☒

No

Federal Awards

Internal control over major programs:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☐

Yes

☒

None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

• Any audit findings disclosed that are required to be reported
in accordance with 2 CFR 200.516(a)?

☐

Yes

☒

No

Identification of major programs:

Federal Assistance

Listing Number	Name of Federal Program or Cluster
Child Nutrition Cluster Program:	
10.553	School Breakfast Program
10.555	National School Lunch Program
10.555	National School Lunch Program- Supply Chain Assistance
10.555	Commodities -DOD (Noncash)
10.555	Commodities (Noncash)
10.559	Summer Food Service Program for Children
10.582	Fresh Fruit and Vegetable Program
Education Stabilization Fund:	
84.425D	COVID-19 Elementary and Secondary School Emergency Relief (ESSER II) Fund
84.425U	COVID-19 ARP- Elementary and Secondary School Emergency Relief (ARP-ESSER) Fund
84.425W	COVID-19 ARP-Elementary and Secondary School Emergency Relief (ARP-HCY-II) Fund

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒

Yes

☐

No

(Continued)

Muscatine Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2023

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-23

Certified Budget – Expenditures for the year ended June 30, 2023, did not exceed the amounts budgeted at year-end.

IV-B-23

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-23

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-23

Business Transactions – No business transactions between the District and District officials or employees were noted except for the following:

Name	Position	Vendor	Relationship	Amount
Brian Mathis	Teacher	Surface Cure	Owner	\$ 5,270

In accordance with the Attorney General's opinion dated November 9, 1976, the transactions do not appear to represent a conflict of interest.

IV-E-23

Restricted Donor Activity- No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

(Continued)

Muscatine Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2023

IV-F-23

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-23

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

IV-H-23

Certified Enrollment-

Finding: There were variances to the October 2022 certified enrollment submitted to the Iowa Department of Education.

Recommendation: We recommend the District review and verify enrollment data before the October 1st process.

Response and Corrective Action Plan: The District will review enrollment data prior to submission to ensure accuracy of the information certified to the Department of Education.

Conclusion: Response accepted.

IV-I-23

Supplementary Weighting – There were no variances to the October 2022 supplementary weighting data submitted to the Department of Education.

IV-J-23

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-23

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely.

IV-L-23

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

(Continued)

Muscatine Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2023

IV-M-23

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2023, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	\$ 10,251,170
Revenue / transfers in:	
Statewide sales and services tax revenue	6,317,866
Interest and other	385,568
Expenditures/transfers out:	
Transfer out	819,537
School infrastructure:	
Buildings	5,291,956
Ending balance	<u>\$ 10,843,111</u>

For the year ended June 30, 2023, the District reduced the tax levy as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa as follows:

	Per \$1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	\$ 3.99000	\$ 5,665,028



Muscatine Community School District
2900 Mulberry Ave
Muscatine, Iowa 52761

Phone:
(563) 263-7223

Muscatine Community School District

Corrective Action Plan
Year Ended June 30, 2023

Current Number	Comment	Corrective Action Plan	Anticipated Date of Completion	Contact Person
-------------------	---------	------------------------	--------------------------------------	----------------

Other Findings Related to Required Statutory Reporting:

IV-H-23	There were variances in certified enrollment.	See response and corrective action plan at IV-H-23	Fiscal Year 2024	Scott Comstock
---------	---	--	---------------------	----------------